Introduction to SHRM Learning System® for SHRM-CP/SHRM-SCP

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SHRM Body of Competency and Knowledge

The SHRM-CP and SHRM-SCP certifications signify mastery of the HR competencies and knowledge that are defined in the SHRM Body of Competency and Knowledge (BoCK).





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SHRM BoCK

The SHRM BoCK is the basis for the SHRM credentials. It:

- Draws heavily on the SHRM Competency Model.
- Describes the Behavioral Competencies and HR Functional Areas needed for effective job performance.
- Explains what HR professionals need to know and how they apply this expertise to perform effectively in the workplace.

The exams and the SHRM Learning System are built upon this foundation.

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Technical Competency

The SHRM BoCK Technical Competency is **HR Expertise,** knowledge of the principles, practices, and functions of effective HR management. It comprises three knowledge domains made up of 15 HR Functional Areas.



*Applicable only to examinees testing within the U.S.

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Behavioral Competencies

The eight Behavioral Competencies reflect the way HR professionals apply their technical expertise.



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Which Certification Is Right for You?

SHRM-CP

For HR professionals who are primarily engaged in operational roles

SHRM-SCP

For HR professionals at a senior level who operate primarily in a strategic role

See *Certification Handbook* for more information on which certification to pursue.

Credential	Less than a Bachelor's Degree*		Bachelor's Degree		Graduate Degree	
	HR-Related Program	Non-HR Program	HR-Related Degree	Non-HR Degree	HR-Related Degree	Non-HR Degree
SHRM-CP**	3 years in HR role	4 years in HR role	1 year in HR role	2 years in HR role	Currently in HR role	1 year in HR role
SHRM-SCP	6 years in HR role	7 years in HR role	4 years in HR role	5 years in HR role	3 years in HR role	4 years in HR role

**Less than a bachelor's degree includes: working toward a bachelor's degree, associate's degree, some college, qualifying HR certificate program, high school diploma, or GED.*

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Exam Overview

- Computer-based testing
- Two exam windows: May 1–July 15, 2020; December 1, 2020–February 15, 2021
- Four hours to complete 160 questions

Breakdown of Testing Time	
Confidentiality agreement	1 minute
Introduction and tutorial	9 minutes
Exam	4 hours
Survey	5 minutes

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Taking the Certification Exam

SHRM-CP and SHRM-SCP

- 160 questions
  - Approximately 95 stand-alone Knowledge Items (both basic Knowledge Items and Foundational Knowledge Items)
  - Approximately 65 Situational Judgment Items

* Note that both exams include some “field test” items that do not count toward a candidate’s final score.

Questions appear in “clusters” of items. You will first see a “cluster” of Knowledge Items, then a “cluster” of Situational Judgment Items, etc. There are approximately five “clusters” on the test.

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Types of Items

HR-Specific Knowledge Items	Foundational Knowledge Items	Situational Judgment Items	Field-Test Items
Cover key concept topics associated with the 15 HR Functional Areas.	Cover key concept topics considered foundational to the eight Behavioral Competencies.	Assess candidates' judgment and decision-making skills	Allow the gathering of data on a question's effectiveness before it is included on future exams as a scored item.
Examinees receive credit for selecting the correct answer to a given question; otherwise, no credit is awarded.	Examinees receive credit for selecting the correct answer to a given question; otherwise, no credit is awarded.	Examinees are presented with realistic work-related scenarios and asked to choose the best strategy to address the issues.	Examinees' answers to field-test items do not count toward any part of their exam scores.

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Distribution of Items

Behavioral Competency Clusters	Percent of Questions	Item Type
	Leadership—13%	Situational Judgment (40%) Foundational Knowledge (10%)
	Business—18.5%	
	Interpersonal—18.5%	

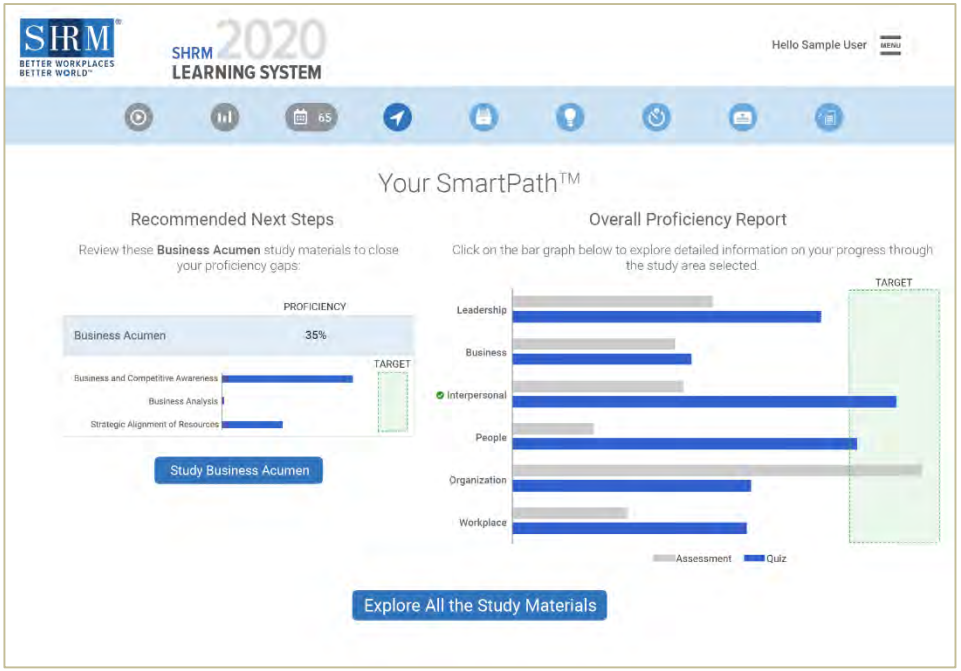
HR Knowledge Domains (HR Expertise)	Percent of Exam	Item Type
	People—17%	HR-Specific Knowledge (50%)
	Organization—17%	
	Workplace—16%	

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SHRM Learning System for SHRM-CP/SHRM-SCP

2020 SHRM LEARNING SYSTEM

- Based on SHRM BoCK
- Designed to help students pass exam for both certifications
- Developed with input of global HR professionals
- Online learning system for exam preparation



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Learning Content

Four modules:

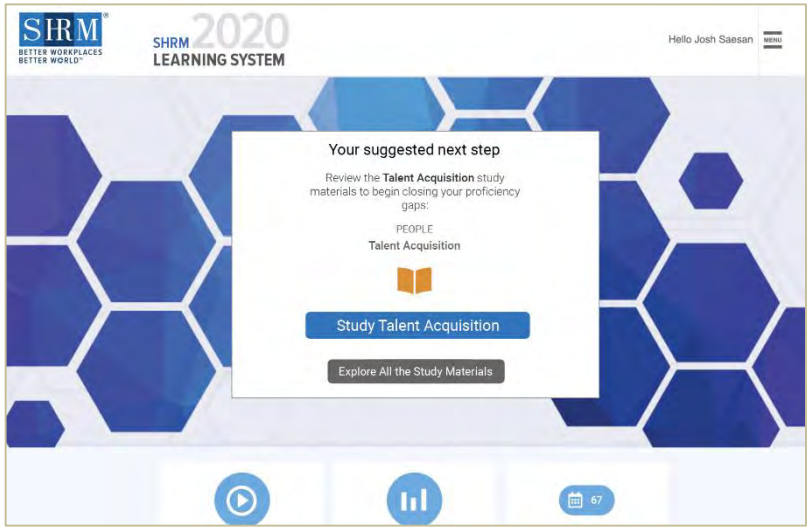
- *HR Competencies*
- *People*
- *Organization*
- *Workplace*

- Content topics are readable via Topic Groups online.
- Also accessible via downloadable .epub files for access on the go.

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Online Learning Center

- Personalized learning experience.
- Carousel provides suggested study tools/resources.
- Review of the materials in an exploratory or linear study path.



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Resources

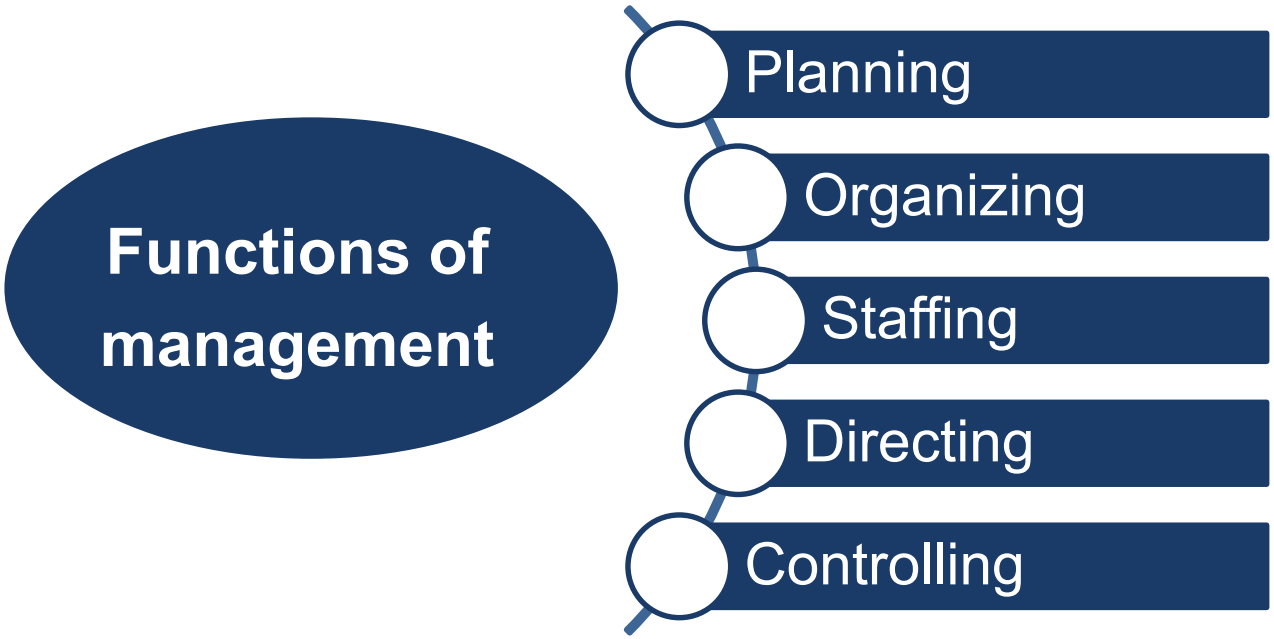
- SHRM Learning System—Online Learning Center: learnhrm.partnerrc.com
- SHRMcertification.org
- Prometric.com/shrm

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HR Competencies

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The Role of the Leader



Leadership style affects employees':

- Ability to make decisions.
- Sense of responsibility.
- Standards for performance.
- Belief that they will be rewarded.
- Sense of mission/shared values.
- Commitment to shared goal.

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Leadership Approaches

Coercive	• Leader imposes a vision or solution.
Authoritative	• Leader proposes a solution and invites team to join this challenge.
Affiliative	• Leader creates strong relationships and encourages feedback.
Democratic	• Leader invites followers to collaborate and acts by consensus.
Pacesetting	• Leader models high performance standards.
Coaching	• Leader develops team members' skills.

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Universal Characteristics of Leadership

Certain characteristics are defined around the world as traits of real leaders.

- Trustworthy and dependable
- Just
- Honest
- Thinks and plans ahead
- Encouraging
- Positive
- Dynamic
- Motivational
- Confidence building
- Decisive
- Committed to excellence
- Intelligent and informed
- Effective, win-win bargainer
- Administratively skilled
- Communicative
- Organized

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Trait Theory

Leaders possess certain innate characteristics, e.g., physical characteristics and personality traits.

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Behavioral School

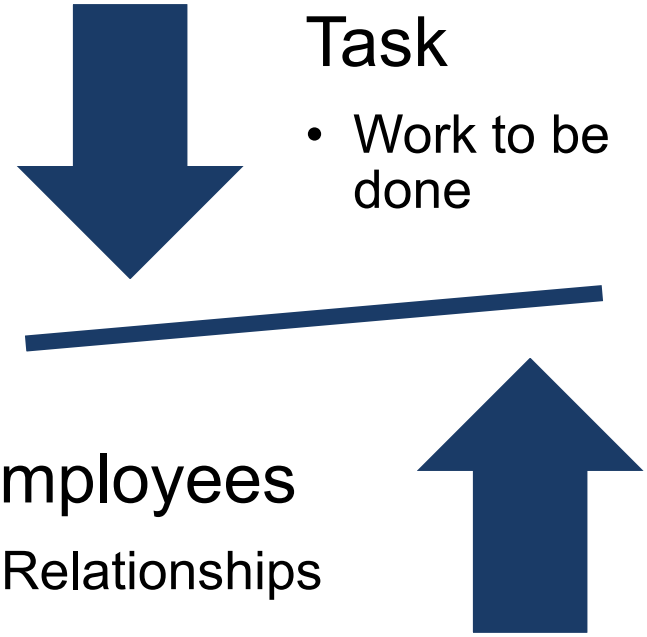
Leaders influence group members through certain behaviors.

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Blake-Mouton Theory

Manager types

- Country club managers
- Impoverished managers
- Authoritarian managers
- “Middle-of-the-road” managers
- Team leaders



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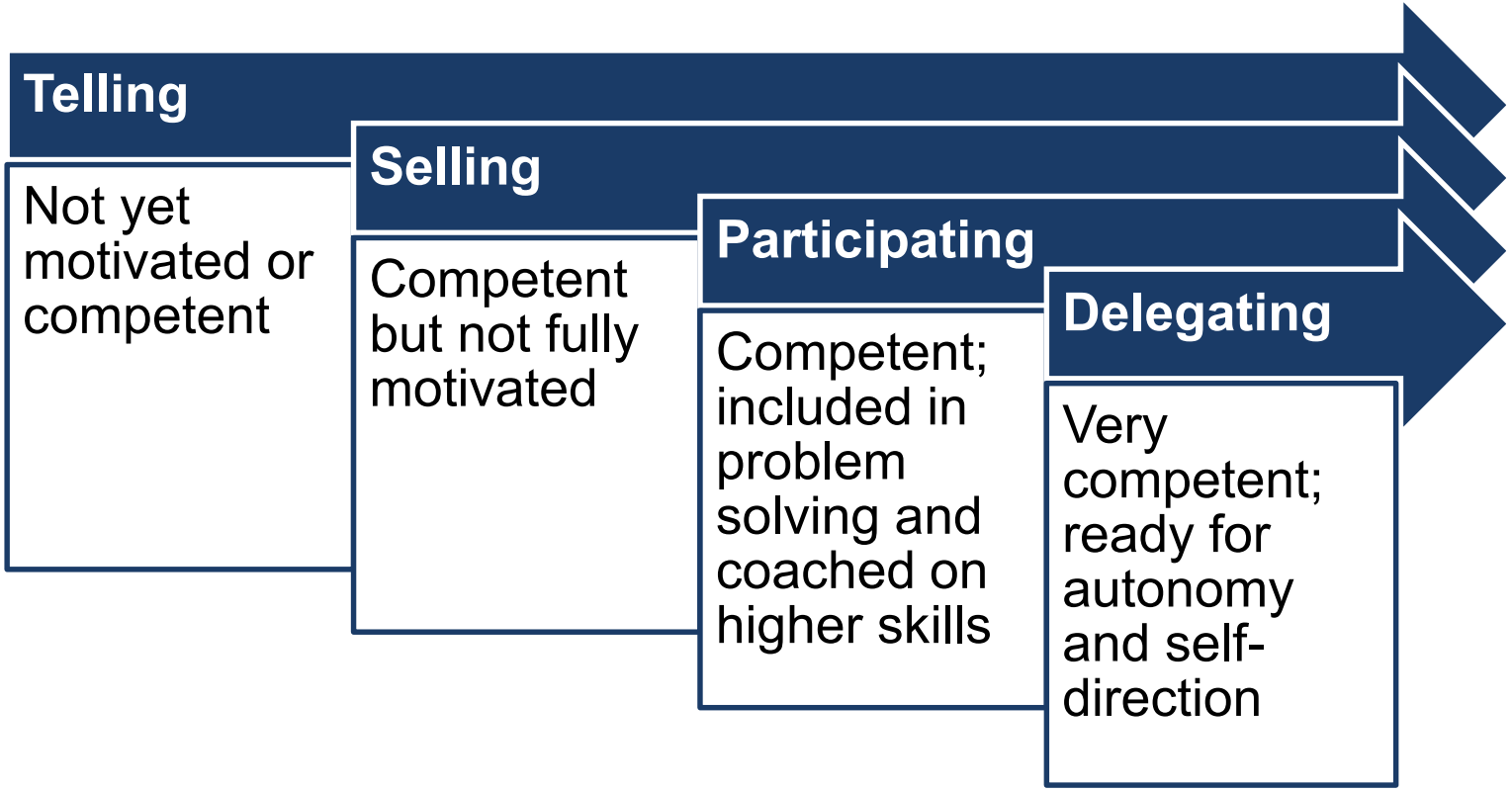
Situational Theories

- Extend the behavioral concept—the effectiveness of different leadership styles depends on the situation.
- Leadership style is most effective when it flexes to the situation or the employees involved.

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Hersey-Blanchard Situational Leadership

Leadership style matches skills/experience of team members.



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Fiedler's Contingency Theory

- Leaders change situation to make it more "favorable," more likely to produce good outcomes.
- "Situation favorableness" occurs when:
  - Leader-member relationships are strong.
  - Task structure and requirements are clear.
  - Leader can exert necessary power to reach group's goal.
- Unfavorable situations can be changed by:
  - Improving relations between leader and team.
  - Changing aspects of task.
  - Increasing or decreasing leader's exercise of power.

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Path-Goal Theory

- Leaders help employees stay on track toward goals.
- Involves addressing different types of employee needs:
  - Directive
  - Supportive
  - Achievement
  - Participative



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Emergent Leadership

- A leader is not appointed but emerges from the group.
- The group chooses the leader based on interactions.



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Learning the Organization

Formal organizational features

- Reporting lines
- Decision-making process
- Funding process
- Strategy, mission, values
- Assessment-shaping events

Informal organizational features

- Values and beliefs
- Cross-organizational relationships
- Communication methods
- Social networks

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Finding Allies

- “Bureaucratic black belts”
- “Tugboat pilots”
- “Benevolent bureaucrats”
- “Wind surfers”

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Types of Power

Using one's power to change other's perceptions or actions	
Legitimate	Created formally through a title or position
Reward	Created when followers receive something they value in exchange for commitment
Expert	Created when a leader possesses great intelligence, insight, or experience
Referent	Created by the force of the leader's personality
Coercive	Created when the leader has the power to punish nonfollowers

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Persuading

Methods of Persuasion

- Use reason.
- Appeal to mutually held visions or values.
- Use reciprocity (banking “favors”).
- Trade by using expertise or resources to fulfill another’s needs.

- Always use influence with honesty and concern.
- Avoid manipulating others by misusing emotional appeals and networking.

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Building Trust

- Common values
- Aligned interests
- Benevolence
- Capability or competence
- Predictability and integrity
- Communication

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Using Emotional Intelligence

Perceiving emotion

Identifying your own and others' emotions

Using emotion to facilitate thought

Decision making, problem solving, etc., within the context of emotions

Understanding emotion

Interpreting complex emotions and understanding their causes

Regulating emotion

Detaching from emotions when they get in the way

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Emotional Intelligence Quotient (EIQ)

Self-awareness

Becoming aware of your emotions and needs and their effect on work relationships

Self-regulation

Learning to control and accommodate one's emotions

Motivation

Possessing a passion for the job or current objective

Empathy

Being aware and accepting of the importance and legitimacy of others' emotions

Social skills (social intelligence)

Being able to create connections or rapport with others

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Motivation

Understanding why people behave the way they do helps leaders influence behavior by appealing to the right needs in the right way.

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Theory X/Theory Y, Needs Theory

Theory X/Theory Y	Needs Theory (Maslow)
• **Theory X** leaders believe that people must be strictly controlled and forced to work. • **Theory Y** leaders believe that employees dislike rigid controls and inherently want to accomplish something.	• Individuals are motivated by a desire to satisfy certain needs. • Maslow identified five categories of needs that must be met in an ascending order: — Physiological — Safety and security — Belonging and love — Esteem — Self-actualization • A lower-level need must be relatively satisfied in order for a higher-level need to emerge or serve to motivate. However, no need is ever totally satisfied.

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Herzberg

Herzberg's Motivation-Hygiene Theory

- Behavior is driven by:
  - Intrinsic factors (challenging work, meaningful impact of work, recognition).
  - Extrinsic factors (job security, pay, conditions).
- Satisfying hygiene factors can remove some discontent that interferes with motivation, but satisfactory conditions are not enough in themselves to create motivation.
- Motivation is created by appealing to individual desires or needs.

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McClelland

McClelland's Three Needs Theory

Individuals are motivated by **achievement, affiliation, power.**

Effective leaders identify and appeal to each employee's primary motivators.

Examples:

- **Achievement**-oriented employees are given assignments that will require and call attention to their abilities.
- Socialization events or opportunities are incorporated into team schedules for **affiliation**-oriented employees.
- **Power**-oriented employees are given tasks that they can control and direct.

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Self-Determination

Self-Determination Theory

Individuals are motivated by innate needs:

- Competence (McClelland's achievement)
- Relatedness (McClelland's affiliation)
- Autonomy (need to feel that one has control over one's life)
- Purpose (sense that one's actions have effects beyond individual or workplace)

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Other Motivation Theories

Expectancy theory (Vroom)

- Level of effort depends on:
  - Expectancy.
  - Instrumentality.
  - Valence.

Attribution theory (Heider, Weiner)

- How a person interprets causes for past success or failure impacts motivation.
- A leader can help employees accurately attribute causes and create opportunities for success.

Goal-setting theory

- Motivation can be increased if employees can assess their achievement against goals.
- Optimally, employees should be involved in designing goals and supported in achieving them.

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Competency Connection

Let's discuss a Competency Connection related to Leadership and Navigation:

- An HR manager recognized high turnover rates. Exit interviews pointed to an engagement problem.
- The manager created a cross-functional committee, built trust, enforced the importance of the issue, and then let the committee take the lead in responding.
- The culture committee surveyed employees and developed weekly meetings, employee appreciation events, and incentives.
- Management became more involved, bridging the gap between management and employees.

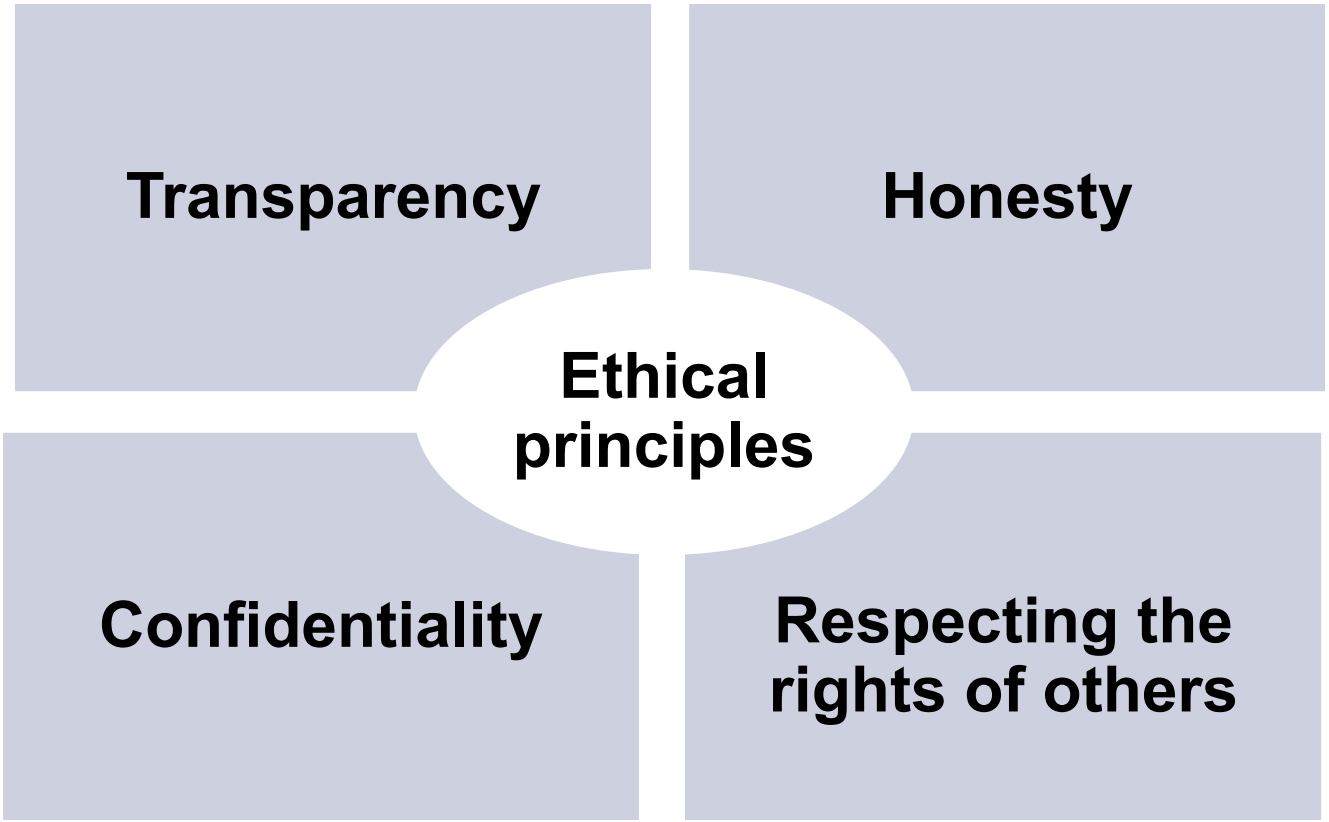
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Competency Connection

- What type of leadership approach did the HR manager take while solving this issue?
- Which formal and informal organizational features did the HR manager encounter?
- How was the HR manager able to use or account for those features in solving the issue?

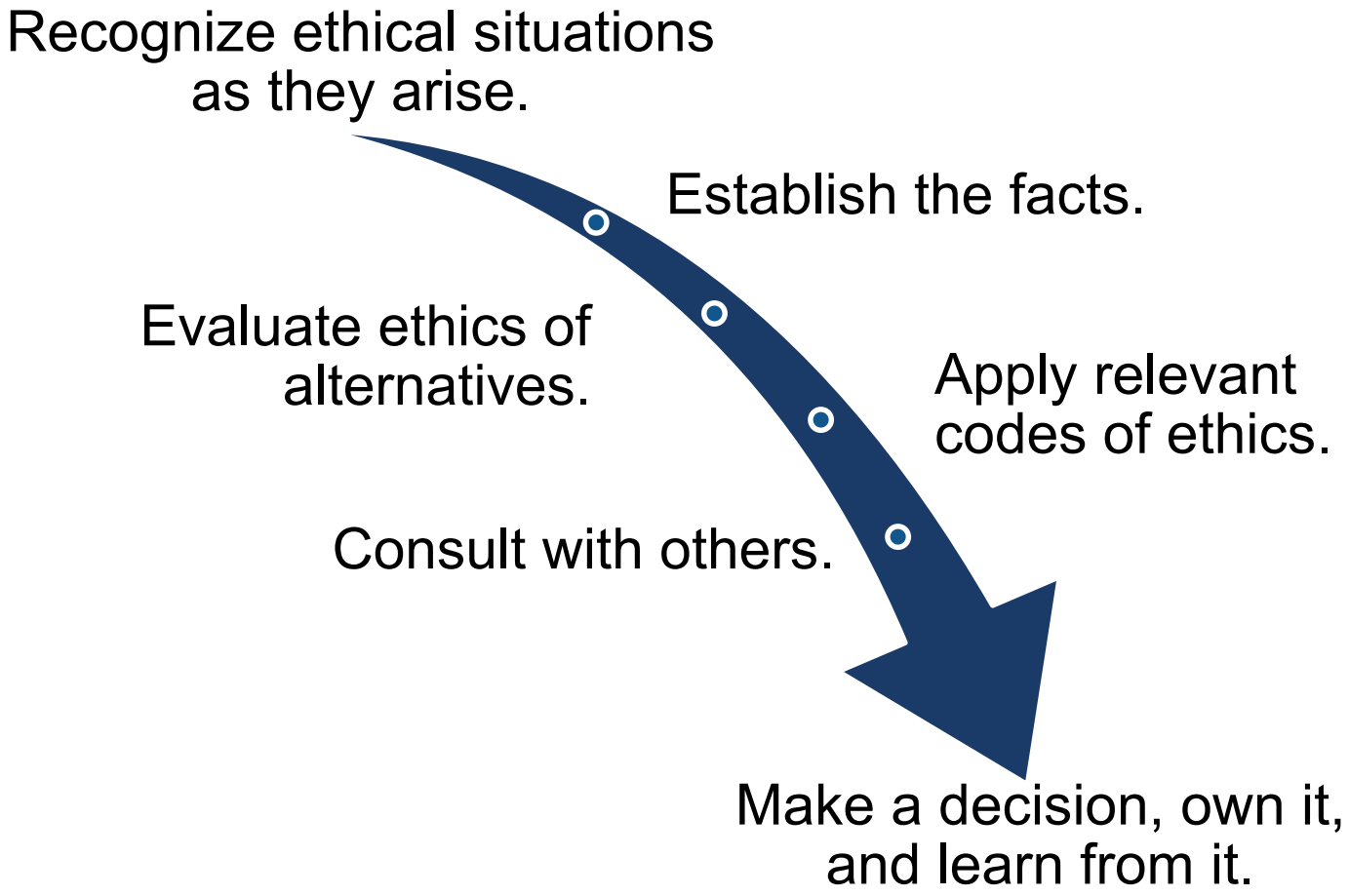
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Ethical Workplace



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Ethical Decision Making



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Ethical Workplaces

Transparency

- Supports trust in relationships with stakeholders
- Discloses details about dealings, transactions, or processes

Honesty

- Reflects a commitment to truthfulness and fairness
- Avoids conflicts of interest and the use of bribery

Confidentiality

- Agrees not to share or make public personal information
- Respects proprietary information consistent with legal requirements and best practices

Protecting the rights of others

- Aims for conduct that respects others' safety, well-being, privacy

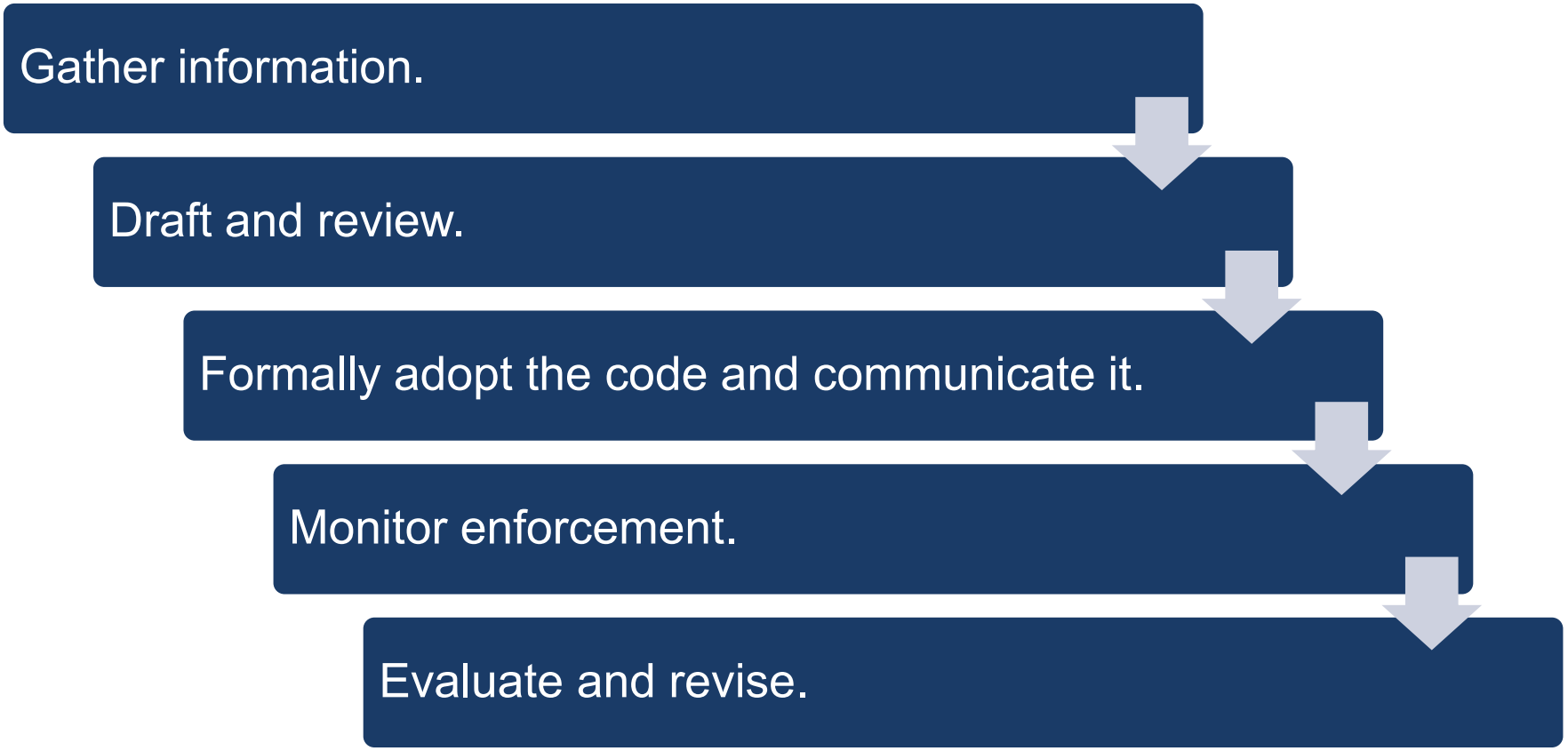
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Codes of Conduct

…help an organization promote ethical behavior…communicate organizational commitment internally…define behavioral expectations for all employees…serve as a guide by which employees and managers can judge their actions…

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Creating a Code of Conduct



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Competency Connection

Let's discuss a Competency Connection related to Ethical Practice.

- The HR VP leads the design of a new leadership development workshop, largely funded by the SVP of finance.
- The SVP of finance tries to increase the representation of finance employees in the workshop.
- The HR VP explains the unfairness of loading the program with finance professionals and how the program and the SVP would be perceived as a result.

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Competency Connection

- Which aspects of the Ethical Practice competency is the HR VP demonstrating?
- What should the HR VP do if the SVP of finance continues to press for greater finance representation?

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Networking

A process of developing mutually beneficial contacts through the exchange of information…may consist of internal or external contacts

Effective networking requires:

- Finding people who have something you would like to share.
- Having something yourself that other people would like to share.
- Allocating time to make and maintain connections.

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Creating Professional Networks

How to Create a Professional Network

- Decide who you should include in your network.
- In all social situations, introduce yourself, and then **ask, listen,** and **remember.**
- Make yourself more visible. **Attend, present,** and **participate** professionally.
- Develop your own value. Work on becoming an expert.
- Do favors. Networking is bidirectional; value flows to both ends of the connection.

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Stakeholder Concept



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Benefits of Building Relationships

Effective relationships

- Improve the quality of communication
- Increase productivity by supporting collaboration
- Create a positive work environment

Paths to Effective Work Relationships
• Strive for diversity in the range of your relationships.
• Invest time and energy in developing/sustaining relationships.
• Develop an ease with “small talk” about non-work matters.
• Talk about yourself without dominating the conversation.
• Learn to ask about others without prying into personal matters.
• Be considerate of other people’s time and obligations.

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Conflict Resolution Tactics

Mode	Description
Accommodate (or smooth)	Emphasize agreement and downplay disagreement.
Assert (or force)	Impose a solution.
Avoid	Withdraw and allow conflict to be resolved (or not) by others.
Collaborate (or confront)	Search for a “third way” that both sides can own.
Compromise	Ask both sides to concede some issues to reach agreement.

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Approaches to Negotiation

- **Soft:** The relationship is worth more than the issue at hand.
- **Hard:** Winning is more important than the relationship.
- **Principled (interest-based or integrative bargaining):** Focus is on issues, finding common interests, and achieving mutual gain.

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Negotiating Process

Prepare.

- Know your needs and their likely demands (e.g., BATNA analysis).

Build relationship.

- Create trust; encourage comfort and openness.

Exchange information.

- Understand positions and perspectives.

Persuade.

- Find mutual benefits.

Concede and agree.

- Find best alternative.
- Confirm and document if appropriate.

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Competency Connection

Let's discuss a Competency Connection related to Relationship Management.

- HR is worried that IT will not be able to provide technical support to employees on long-term international assignment. The time frame is short and the project is critical.
- HR meets with IT to review project requirements.
- HR and IT collaborate on streamlining processes to avoid delays.

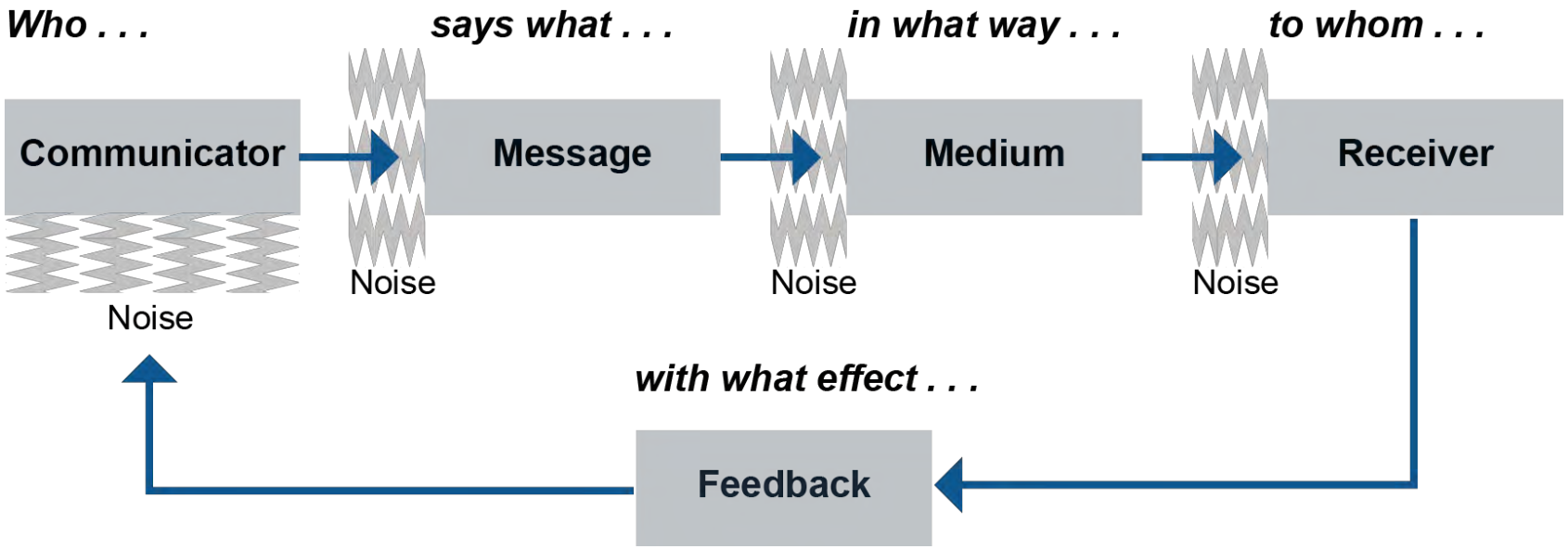
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Competency Connection

- How did the head of HR apply the Relationship Management competency to this situation?
- How did the head of HR approach negotiating for the required changes to ensure the success of the project?

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Communication Model



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Impactful Communication

Impactful communication integrates:

- An understanding of the audience's needs and perspectives.
- A clear message.
- Effective delivery.



At the center is the communicator and the perception communicators create of themselves.

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Understanding the Audience

Key audience analysis questions

- Who should receive information?
- What do they know, and what do they need to know?
- How will the audience react?
- How can I best persuade them?



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Constructing the Message

Key "framing" questions

- What is my objective? What do I want the audience to feel? To do?
- What benefits can be created as a result of this communication?
- What are the key points, and what order makes logical sense?
- What evidence will convince the audience?



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Planning Communications

Key planning questions

- How will the communication occur?
- When will the communication occur?
- Where will the communication occur?
- Who will communicate?
- What support will be required?
- What media will be used?
- How will audience feedback be managed?
- What organizational rules will shape the communication?



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Being an Impactful Communicator

Key questions to create impact:

- How can I create credibility?
  - Reputation for expertise
  - Reliability
  - Integrity
- How do I create presence?
  - Posture and movement
  - Gesture
  - Eye contact
  - Vocal qualities



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Evaluating Communication

- Was the audience analysis complete and on target?
- Did the audience react as anticipated?
- What points seemed most or least interesting?
- Where did they get confused?
- Where were they most engaged?
- What engagement tactics worked and which didn't?
- How could feedback mechanisms be improved?



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Feedback

Giving Feedback

- Must be timely and specific.
- Withholding feedback results in unmanaged negative risks.

Providing Corrective Feedback

- Bookending negative feedback with positive remarks does not improve acceptance.
- Incorporate the opportunity for employees to express their own goals.

Seeking and Receiving Feedback

- Decide what kind of feedback is needed. Then find the person most equipped to give it.
- Listen actively and don't be defensive.
- Offer thanks.

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Leading More Effective Staff Meetings

- Have a purpose and ensure that everyone understands this purpose.
- Set a clear agenda.
- Limit meeting time to what is needed to address agenda items.
- Start on time. Plan social exchanges ahead of the start time.
- For regular meetings, consider ways to “change things up.”
- Take time to resolve conflicts, but postpone difficult conflicts until later.
- Review decisions and next steps at meeting’s end.
- Send an e-mail summary if needed.
- Periodically, have a “meeting on meetings.”

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Competency Connection

Let's discuss a Competency Connection related to Communication.

- An organization with a brand reputation for quality is facing a product recall. The HR director (HRD) works with a senior management team to plan the recall.
- The HRD wants to control damage to employee morale and retention. This includes:
  - Confirming what is known and not known.
  - Preparing leaders to discuss the issue with employees.
  - Being attentive to employee's perspectives and concerns.
  - Holding a town hall and daily briefings.
  - Communicating support planned in case of layoffs.

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Competency Connection

- How has the HRD ensured that the employee communications will be impactful?
- How has the HRD framed questions to ensure that the communication effort is successful?

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The Global Mindset

A **global mindset** is the ability to take an international, multidimensional perspective that is inclusive of other cultures, perspectives, and views.



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Characteristics of a Global Mindset

- Seeking a broader picture
- Accepting contradictions
- Trusting systems, procedures, and norms rather than structure
- Valuing multicultural teamwork
- Viewing change as an opportunity
- Welcoming new ideas and opportunities to learn
- Behaving inclusively rather than exclusively

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Benefits of a Global Mindset

- Allows organization to identify global opportunities.
- Brings key operational benefits.
- Makes organization:
  - More proactive.
  - More alert to the entry of nontraditional competitors into local market.
  - More open to diversity.

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Developing and Promoting a Global Mindset



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Global HR Skills

Develop a strategic view of the organization.

Develop a global organizational culture.

Secure and grow a safe and robust talent supply chain.

Use and adapt HR technology.

Develop meaningful metrics.

Develop policies and practices to manage risks.

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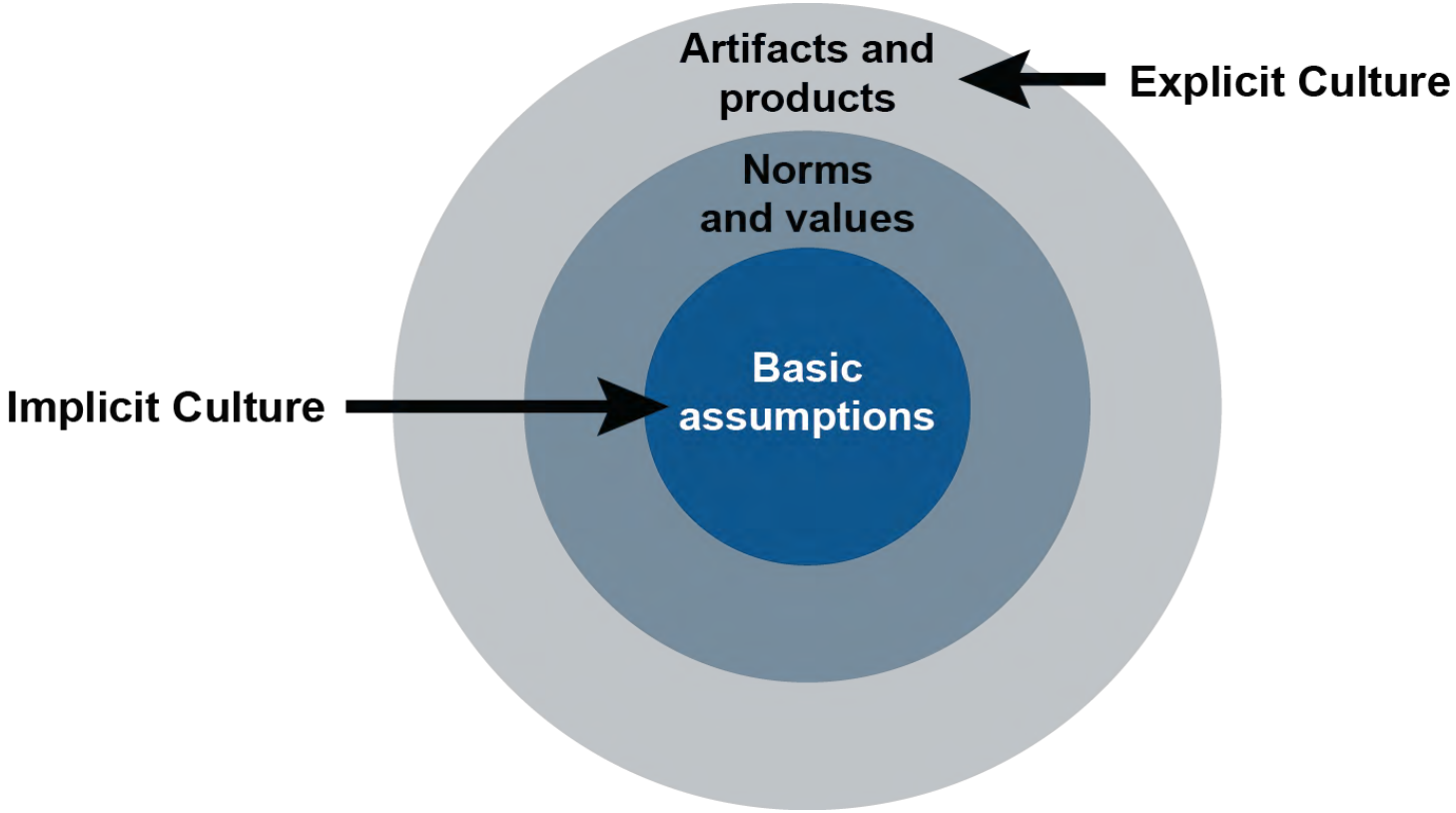
Culture

Set of beliefs, attitudes, values, and perspectives shared by members of a group and passed down from one generation to the next

- Nations
- Geographical regions
- Organizations
- Industries
- Smaller divisions of these groups

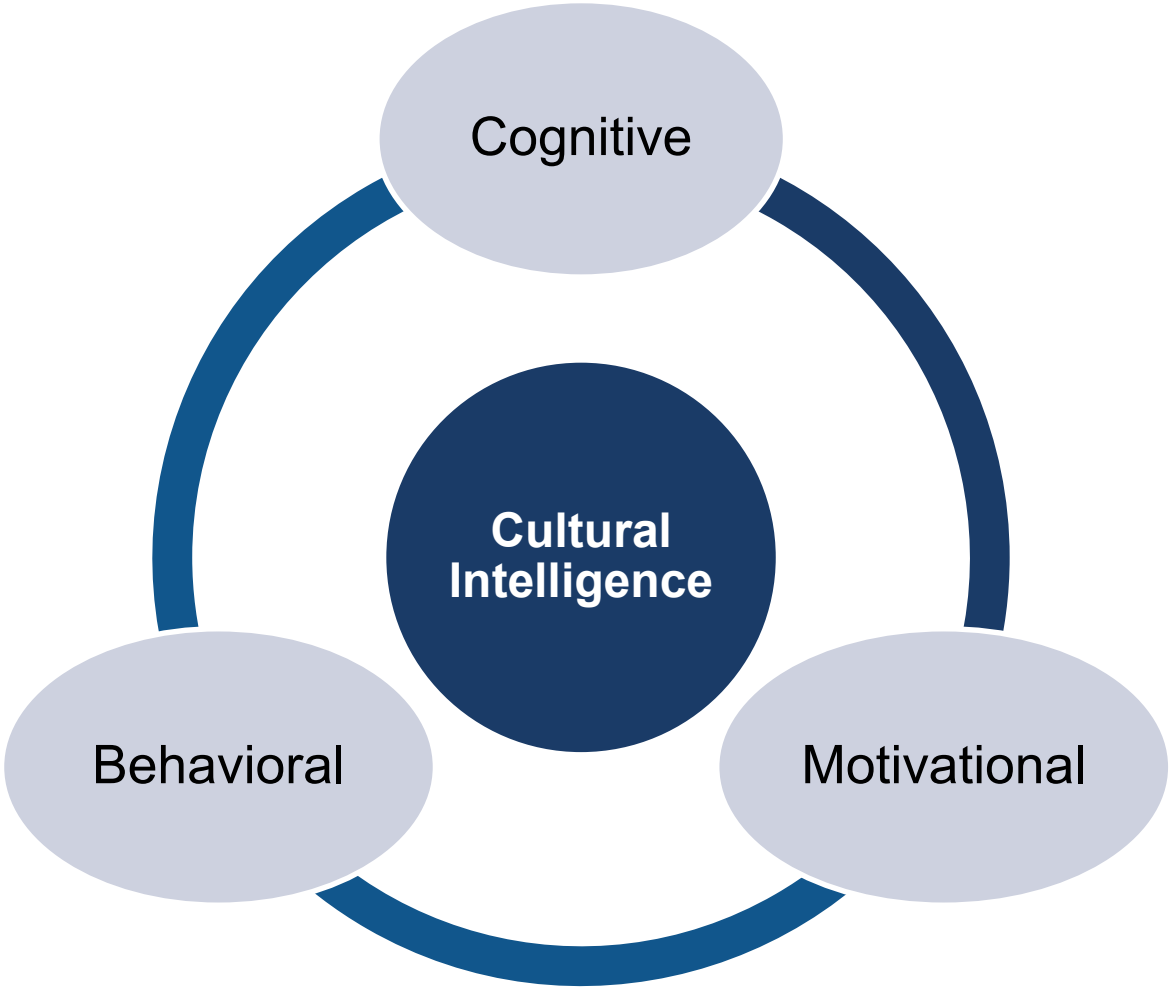
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Layers of Culture



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Cultural Intelligence



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High- and Low-Context Cultures

High-Context Cultures

- Complex, long-standing networks of relationships.
- Rich history of common experience and implicit rules.
- What you say may not be what you mean.
- *Examples:* China, Japan, France, many Latin American countries.

Low-Context Cultures

- Relationships have less history.
- Background information is packaged with explicit communication.
- What you say is what you mean.
- *Examples:* United States, United Kingdom, Canada.

Impacts:
Negotiations, 360-degree performance reviews, training meetings

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Hofstede's Dimensions of Culture

Dimension	Definition
Power distance	Extent to which unequal distribution of power is accepted.
Individualism/ collectivism	Degree of group integration: Individualism values self-reliance, collectivism values group loyalty.
Uncertainty avoidance	Tolerance for uncertainty, ambiguity; comfort with new, unexpected situations.
Masculine/ feminine	• Masculine: ambitious; concerned with work and achievement. • Feminine: nurturing; concerned with quality of life and consensus.
Long-term/ short-term	• Long-term: values perseverance, thrift; orders relationships by status. • Short-term: values social traditions, respect, trading favors, greetings.
Indulgence/ restraint	• Indulgence: Enjoyment of life and freedom in gratifying desires. • Restraint: Suppression of desires in order to meet social norms.

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Trompenaars's and Hampden-Turner's Dilemmas

- Universal vs. particular
- Individual vs. communitarian
- Neutral vs. affective
- Specific vs. diffuse
- Achieved vs. ascribed
- Sequential vs. synchronic
- Internal vs. external

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Challenge of Culture

Ethnocentrism and parochialism
(limited world views)

Cultural stereotypes
(judgmental characterizations)

Cultural determinism
("The culture made me do it.")

Cultural relativism
(Everything varies with the situation.)

Cultural disconnects can lead to **"malicious compliance"**—agreeing to programs from headquarters and then sabotaging their success.

© SHRM

Dilemma Reconciliation

Recognize	Create awareness of cultural differences.
Respect	Appreciate the value of difference.
Reconcile	Resolve differences by finding a common path.
Realize and root	Implement solutions and institutionalize them.

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Types of Legal Systems

Civil Law

- Based on written codes approved by legislative bodies.
- Most prevalent form of law in the world.

Common Law

- Based on judicial decisions.
- Evolves over time.
- Forms the basis of legal systems in United Kingdom and former colonies.

Religious Law

- Based on religious beliefs and conventions (a mix of written codes and interpretations).
- Can influence HR policies and practices.

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Rule of Law

No individual is beyond the reach of the law.

Authority is exercised only in accordance with written and publicly disclosed laws.

Laws are enforced through due process procedures.

Government is thereby restrained from abusing power.

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Jurisdiction

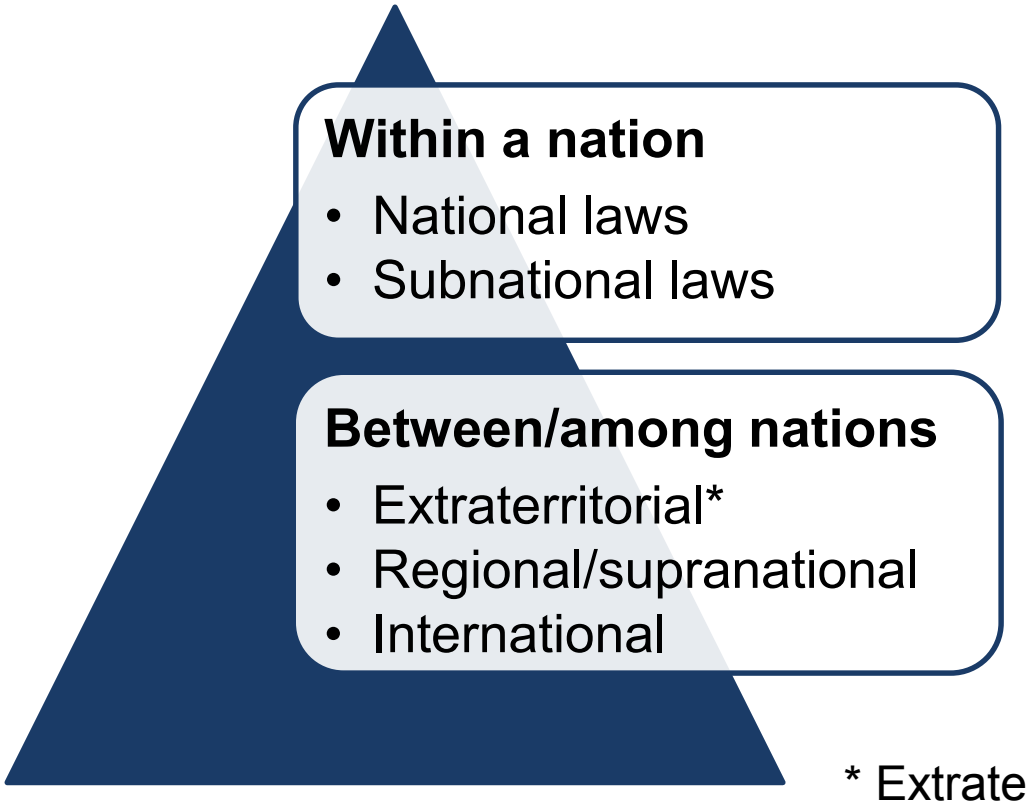
The right of a legal body to exert authority over a territory, subject matter, or persons or institutions.

Implications for organizations:

- Host- rather than home-country laws may apply to corporate activities.
- For global organizations, jurisdictional disputes may arise.
- Two important concepts:
  - Conflict of laws
  - Forum or jurisdiction shopping

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Levels of Law



* Extraterritorial laws extend the power of a country's laws over its citizens **outside that country's sovereign national boundaries.**

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Competency Connection

Let's discuss a Competency Connection related to Global and Cultural Effectiveness.

- A bilingual HRBP was asked to support a supervisor in giving a verbal warning to a Spanish-speaking employee.
- The HRBP asked questions to understand if addressing a perceived language issue was appropriate in the warning.
- The HRBP explained to the supervisor that the language issue was not at fault and could not fairly be raised during the verbal warning process.
- In addition, by speaking with the employee, the HRBP diagnosed the real problem and suggested constructive responses.

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Competency Connection

- What process did the HRBP use to attempt to address the situation? How was the HRBP able to effectively apply the steps of that process?
- What aspects of cultural intelligence did the HRBP rely on when deciding how to address the situation?

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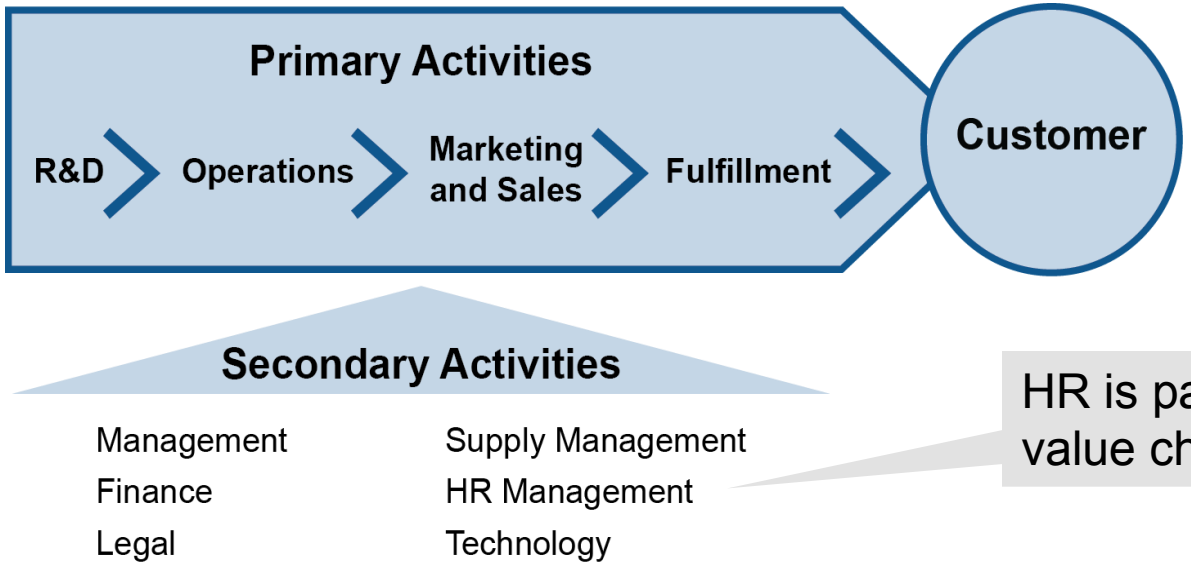
Value

- **Value** generally refers to organizations' success in meeting their strategic goals.
- Both for-profit and not-for-profit organizations must produce value.
- Value can vary by organization.
- It can be influenced by the organization's mission.

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Value Chain

- The organizational process used to create its product or services is the **value chain.**
- Value chains may vary in structure.
- Some include external supply chain and/or delivery partners.

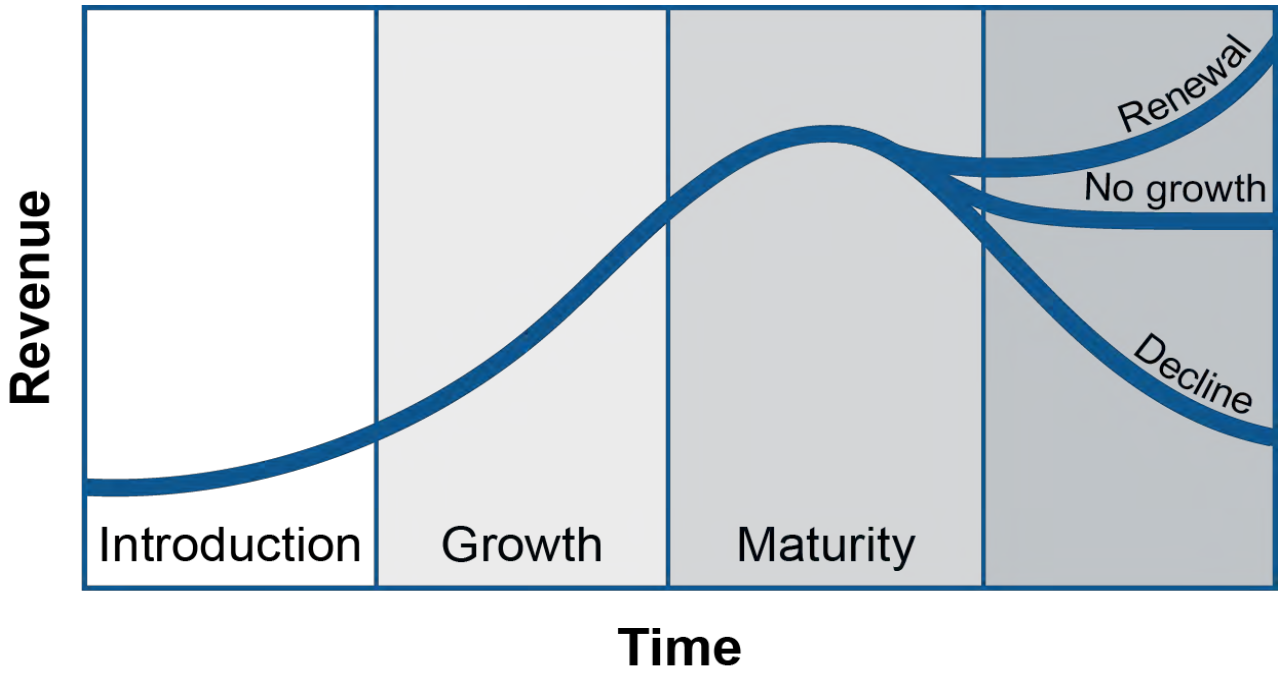


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Life Cycle

Know where you are in the life cycle.

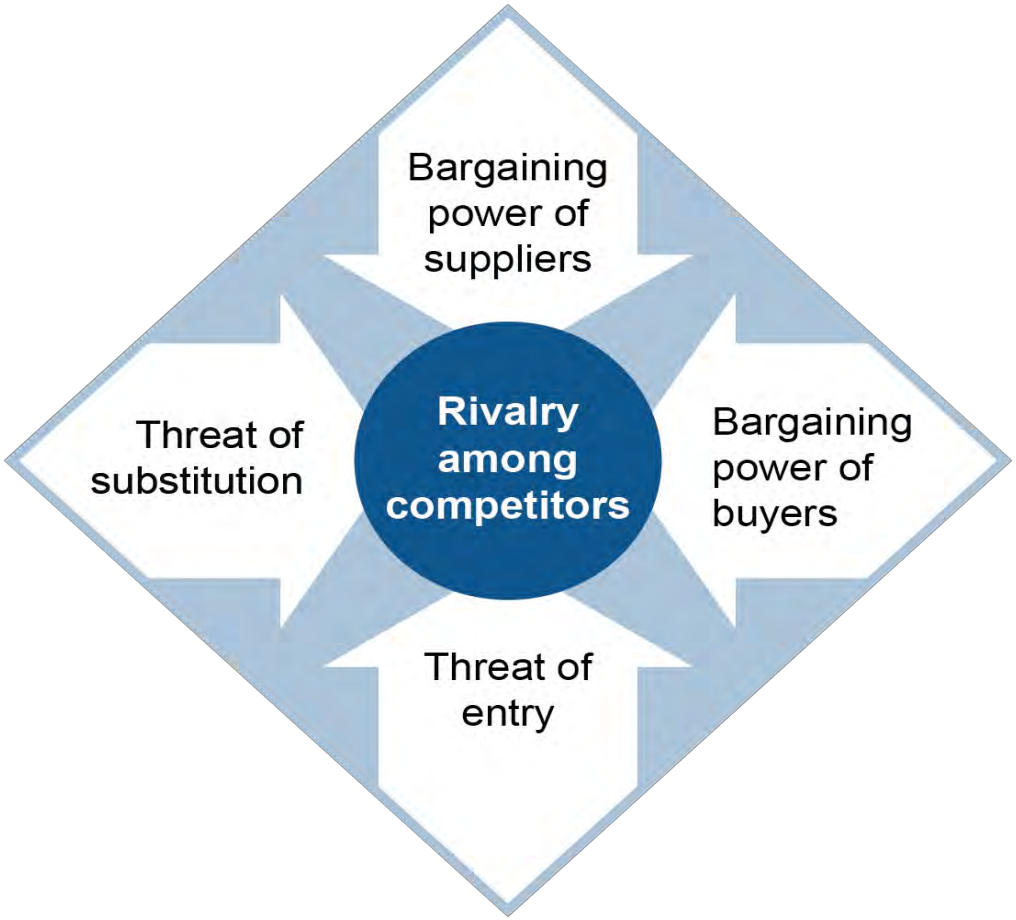
Needs change as industries, businesses, and products pass through predictable cycles.



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Porter's "Five Forces"

- "Five Forces" framework reveals information about dynamic forces within industries.
- Analysis can be used to identify opportunities and threats, foresee possible changes in competitive landscape, and plan strategy.



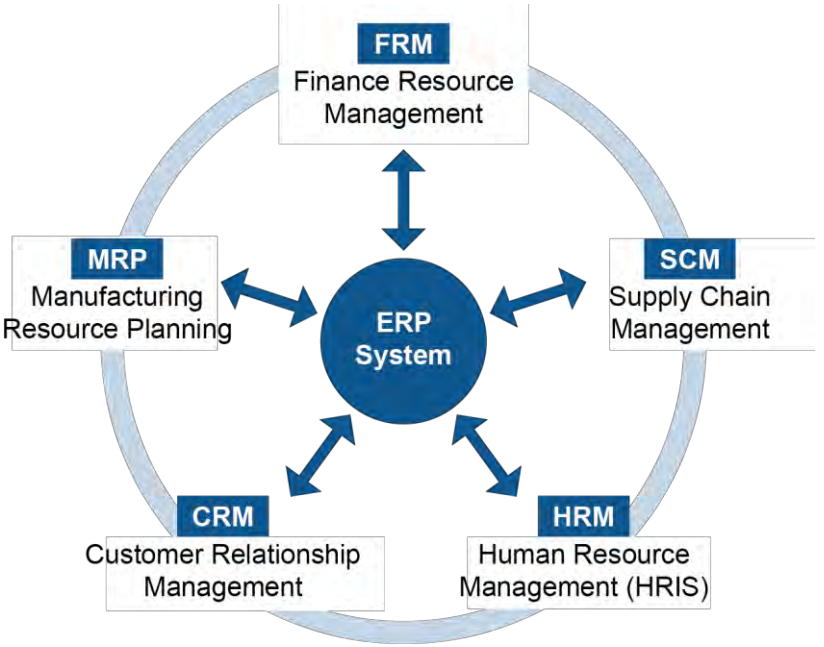
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Business Intelligence

The ability to use information to gain a deeper understanding of the organization and its parts.

Includes:

- Data gathering.
- Data warehousing.
- Query and reporting capabilities.



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Budgeting

Budget Type	Characteristics
Incremental	Traditional approach; prior budget is basis for next budget.
Zero-based	Each unit or goal is ranked, and available funds are allocated, with budgets starting at zero.
Activity-based	Based on how much it costs to perform activities; funding based on strategic significance of activities.
Formula-based	Different units receive varying percentages of budget.

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Budgeting Considerations

The budgeting process requires understanding the organization's practices, strategy, and environment.

- How does the organization allocate costs?
- Which costs are variable and which are fixed for the budget year?
- When do costs occur?
- What organizational and functional strategic plans will affect HR?
- What risk factors affect the budget?



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Business Case

Presentation to management that establishes that a specific problem exists and argues that the proposed solution is the best way to solve the problem in terms of time, cost efficiency, and probability of success

Statement of need — Condition or change impelling action

Recommended solution — Objectives for an ideal solution

Risks and opportunities — Outcomes that could decrease success or present new opportunities; risk of doing nothing

Estimated costs and time frame — All foreseeable elements plus a reserve

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Sample Balance Sheet

ABC Manufacturing Company		
Balance Sheets	**In thousands (000)**	
December 31, Year	**Year 1**	**Year 2**
Cash and cash equivalents	$ 133,900	$ 128,600
Raw materials inventory	10,800	13,000
Work-in-process inventory	5,400	16,600
Finished goods inventory	25,000	23,700
Total inventory	$ 41,200	$ 53,300
Accounts and notes receivable	46,200	50,300
Doubtful accounts	<500>	<400>
Total current assets	*$ 220,800*	*$ 231,800*
Gross plant, property, and equipment	60,000	70,000
Accumulated depreciation	<6,400>	<10,400>
Net plant, property, and equipment	$ 53,600	$ 59,600
Total assets	**$ 274,400**	**$ 291,400**
Accounts payable	59,700	65,200
Short-term notes payable	12,000	16,000
Total current liabilities	$ 71,700	$ 81,200
Long-term debt	80,000	80,000
Stockholders' equity (includes retained earnings)	122,700	130,200
Total long-term debt and stockholders' equity	$ 202,700	$ 210,200
Total liabilities and stockholders' equity	**$ 274,400**	**$ 291,400**

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Balance Sheet Concepts

Assets = Liabilities + Equity or **Equity = Assets – Liabilities**

Assets	What an organization owns
	Can be tangible or intangible
	Can include investments
	Can include what is owed to the organization (**accounts receivable)**
Liabilities	What an organization owes
	Can include items such as rent, loans, tax debts, etc.
	Can include what vendors/suppliers are owed (**accounts payable)**
Equity	Represents what a company owes to either its owner(s) or its shareholders
	Represents what is left of a company's assets after its liabilities have been discharged

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Income Statement Concepts

Basic form is:

Net income = Revenues – Expenses

- Provides the “bottom line” look at how the organization is performing.
- Also known as the **profit and loss statement** (P&L).

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Sample Income Statement

ABC Manufacturing Company		
Income Statements	**In thousands (000)**	
	FY 1	**FY 2**
Sales, gross	**285,500**	**312,000**
Sales discounts, returns, and allowances	<14,300>	<15,600>
Revenue (net sales)	**271,200**	**296,400**
Cost of goods sold (COGS)	<167,400>	<182,200>
Gross profit	**103,800**	**114,200**
Selling expenses	<29,800>	<32,600>
Salaries	<19,000>	<20,700>
Lease expense	<10,800>	<11,900>
Total operating expenses	**<59,600>**	**<65,200>**
Depreciation	<3,400>	<4,000>
Earnings before interest and taxes (EBIT)	**40,800**	**45,000**
Interest expense	<4,300>	<4,400>
Pretax income	**36,500**	**40,600**
Taxes	<12,000>	<21,100>
Net income	**24,500**	**19,500**

© SHRM

Sample Cash Flow Statement

ABC Manufacturing Company		
Statements of Cash Flow	**In thousands (000)**	
Year	**Year 1**	**Year 2**
After-tax income	$ 24,500	$ 19,500
Depreciation add-back	3,400	4,000
(Increase)/decrease in inventory	(7,900)	(12,100)
(Increase)/decrease in accounts receivable	(7,700)	(4,200)
Increase/(decrease) in accounts payable	10,100	5,500
Net cash flow from operating activities	**22,400**	**12,700**
Capital expenditures	(10,000)	(10,000)
Net cash flow from investments	**(10,000)**	**(10,000)**
Cash flow from operations and investment	12,400	2,700
Additional equity capital	–	–
Less dividends paid	(10,000)	(12,000)
Increase/(decrease) in long-term debt	–	–
Increase/(decrease) in short-term notes	2,000	4,000
Net cash flow from financing activities	**(8,000)**	**(8,000)**
Cash flow from operations, investments, and financing activities	**4,400**	**(5,300)**
Beginning cash balance	**129,600**	**133,900**
Ending cash balance	**$ 134,000**	**$ 128,600**

Combined cash flow is subtracted from the ending cash balance of the previous period, which is the beginning cash balance of the current period.

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Cash Flow Statement Concepts

- Shows incoming and outgoing cash in the areas of operations, investing, financing.
- The balance, trends, and relationships in areas of the statement are examined for signs of sound or weak management.
  - Negative cash flow in operations could indicate that sales are too low and/or the cost of production is too high.
  - Negative cash flow in financing could show that organization is relying too heavily on borrowing.

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Financial Ratios

Financial ratios can be used to analyze an organization's performance.

Excessive use of financial measures can overemphasize the importance of short-term results.

Ratios are often industry-specific, so HR professionals should understand industry metrics and how organization compares with similar enterprises.

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Sample Financial Ratios

- Current
- Debt to asset
- Debt to equity
- Accounts receivable turnover
- Gross margin
- Earnings before interest, taxes, depreciation, amortization (EBITDA) margin
- Profit margin
- Return on investment (ROI)
- Earnings per share (EPS)
- Price to earnings (P/E)

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Sample Nonfinancial Metrics

- Market share
- Reputation among stakeholders
- Brand awareness
- Employer brand
- Social responsibility
- Quality, customer relations, innovation
- Efficiency
- Activity ratios
- Employee retention and job satisfaction
- Employee engagement

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Competency Connection

Let's discuss a Competency Connection related to Business Acumen.

- An HR director (HRD) in a nonprofit organization wanted to propose a full-service HRIS.
- The HRD met with each leader to uncover their concerns about the acquisition.
- The HRD analyzed proposals from four vendors and built a cost-benefit case for leadership.
- The HRD met individually with leaders to address lingering concerns about impacts.

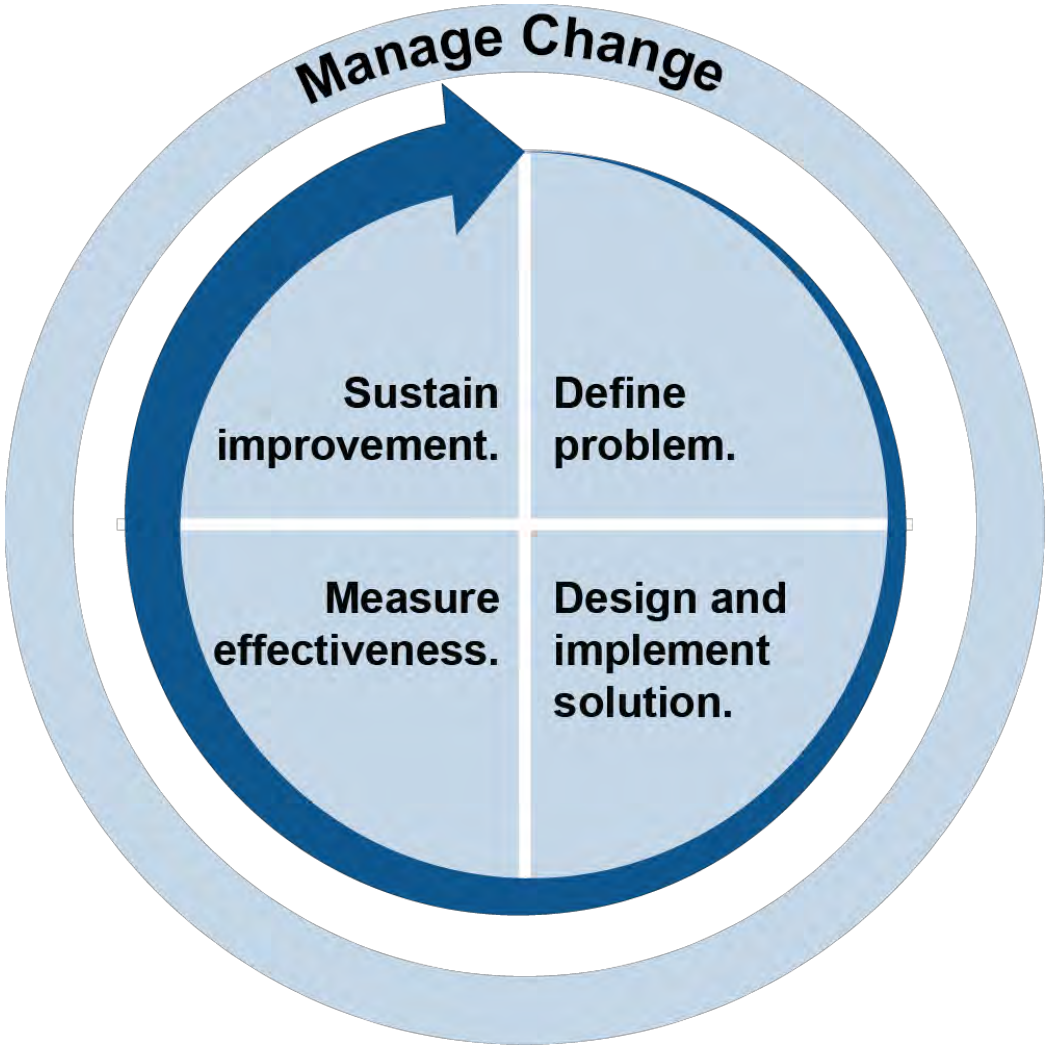
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Competency Connection

- How was the HRD able to use business intelligence when leading the selection process?
- Without adequate business intelligence, would the HRD have been successful in convincing leadership to invest in the HRIS system? Why or why not?
- What steps did the HRD take in order to craft a strong business case for the HRIS?

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Consulting Model



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Tools for Group Decision Making

- SWOT analysis
- Multi-criteria decision analysis (MCDA)
- Cost-benefit analysis (CBA)
- Force-field analysis

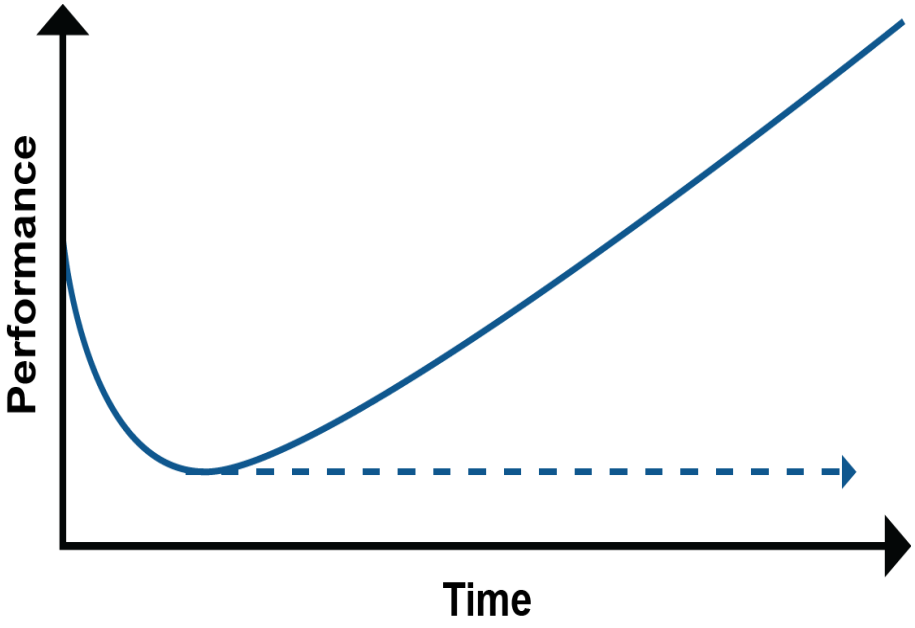
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HR's Role in Managing Change

- Identify impact of change.
- Assess ripple effect across the organization.
- Consult with leadership about ways to support the acceptance and institutionalization of the change.
- Communicate quickly and often.
- Measure effectiveness in implementing the change.
- Track issues and follow up to deliver superior service to HR's internal customers.

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J Curve



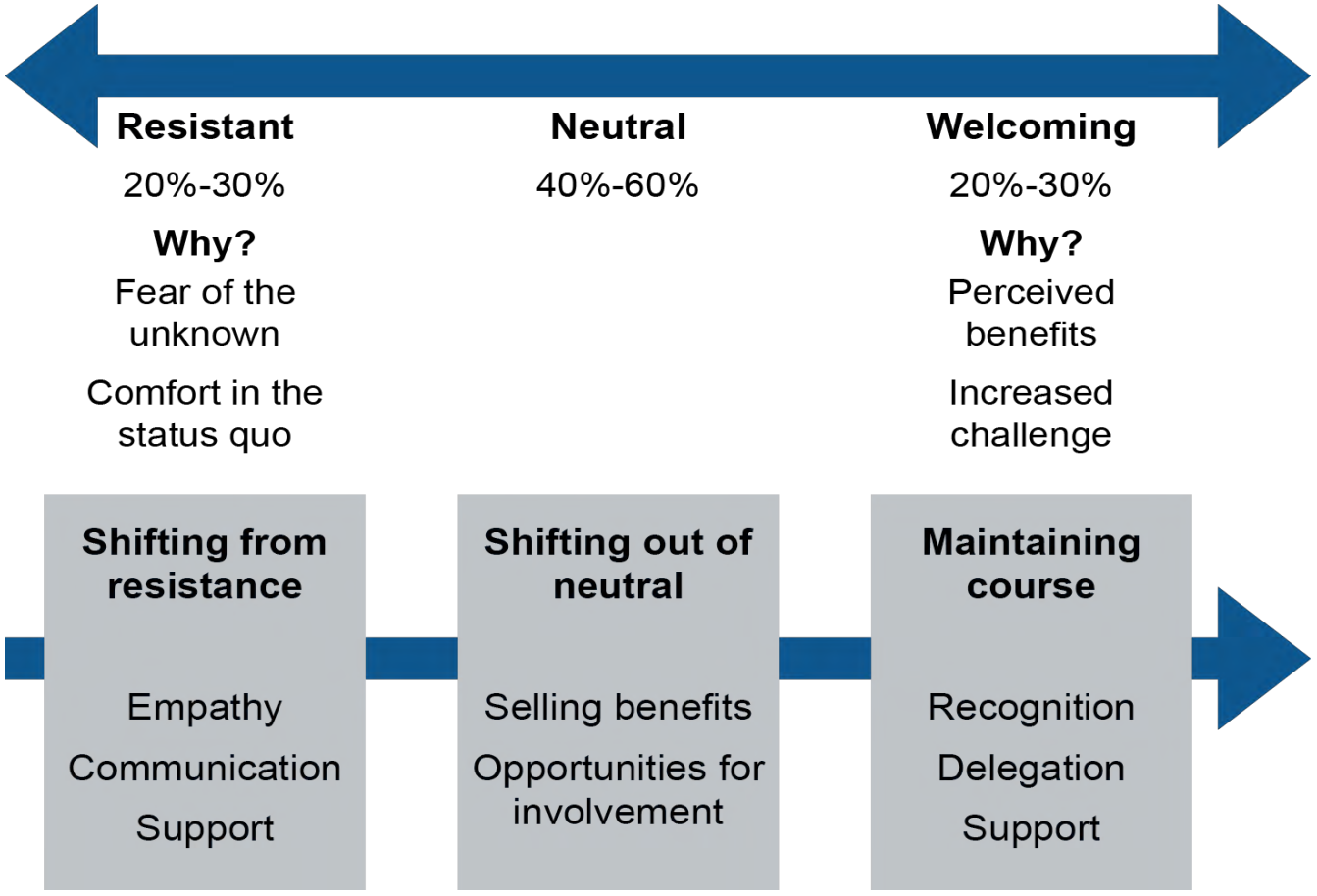
The J curve shows the challenge of introducing change into an organization.

Can we return to or exceed previous levels of productivity?

Will we be mired in resistance?

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Managing Change Spectrum



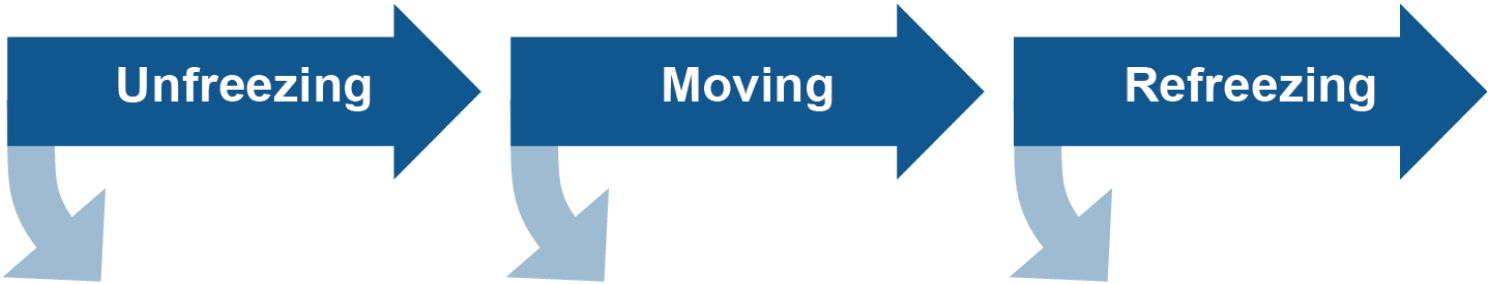
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What Makes Change Possible?

- Shared purpose
- Reinforcement systems
- Skills required for change
- Consistent role models

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Lewin Change Model



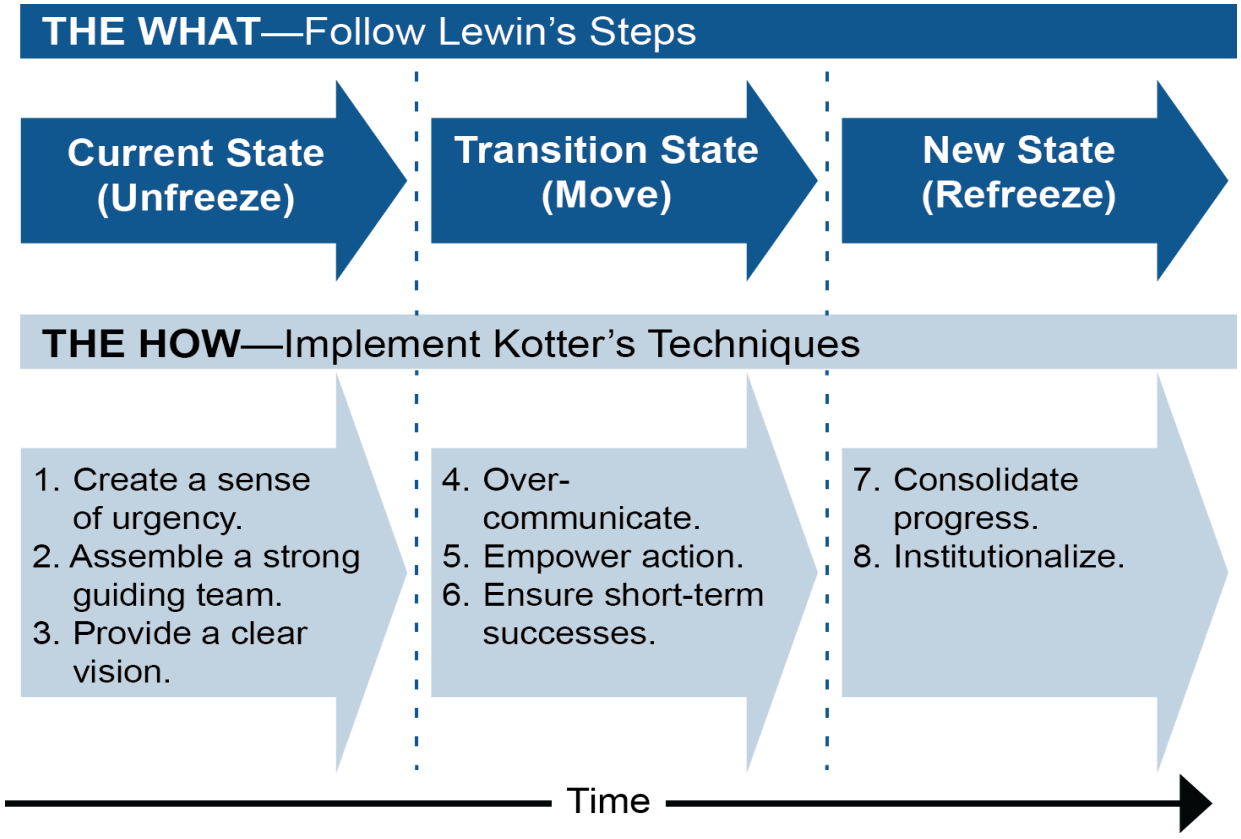
Unfreeze the current state.
The purpose of this step is to get people to accept that the change will occur. Reducing factors that work against change is critical at this stage.

Move toward the new state.
During the second step, the focus is on getting people to accept the new, desired state.

Refreeze the new state.
Once the change has been implemented and generally accepted, the focus should be on making the new idea a regular part of the organization.

© SHRM

Integrated View of Change *



* "Managing Across Borders in Latin America," Cesar Aguirre

© SHRM

Competency Connection

Let's discuss a Competency Connection related to Consultation.

- HR identifies a turnover trend within a particular business segment.
- HR begins a fact-finding process, including checking employee files for problems and discussing workplace conditions with functional managers.
- HR then works with managers and employees to identify new ways to address the negative workplace conditions.
- HR continues to monitor turnover and meets with managers to help them overcome obstacles.

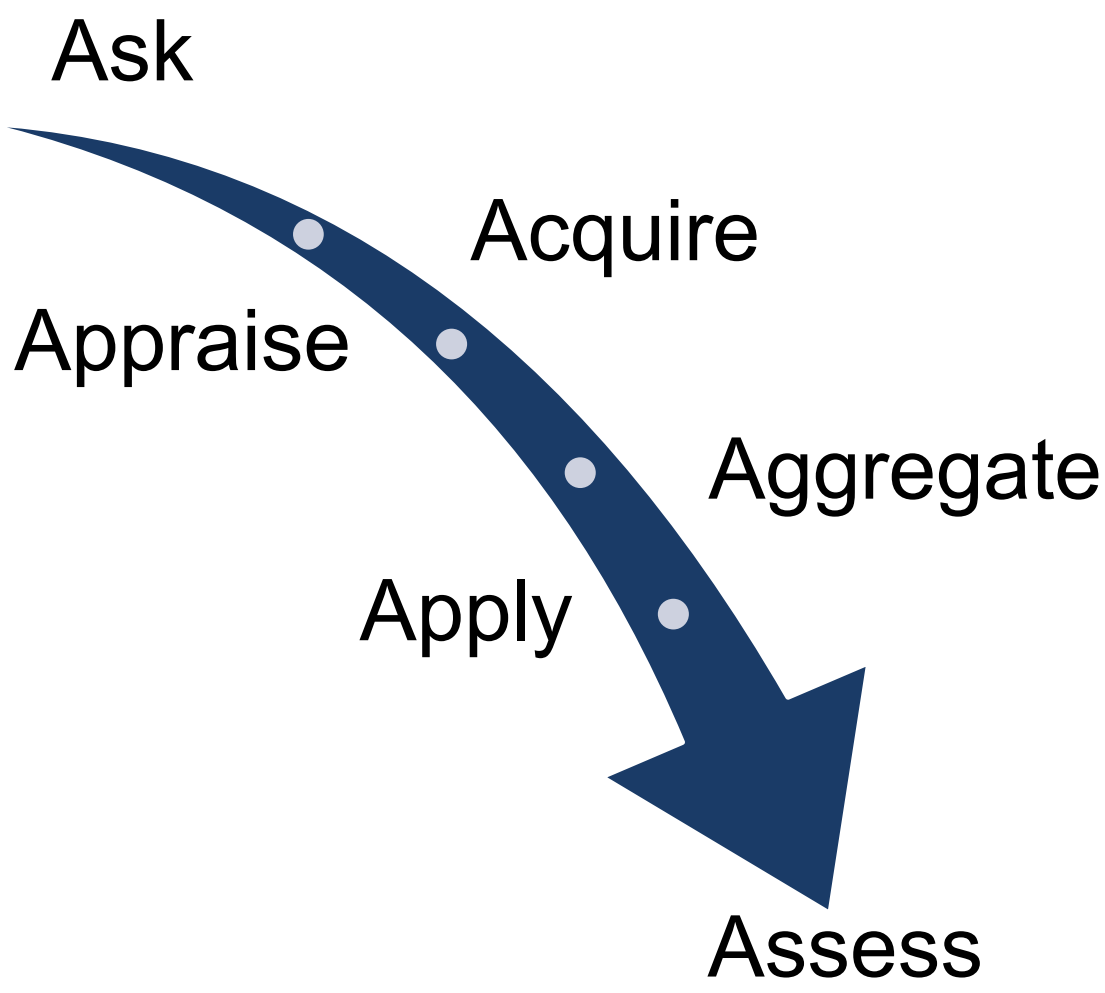
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Competency Connection

- How does HR apply the four steps of the consulting model to address the issue at hand?
- How is HR able to manage the changes required to address the problem?
- What reactions to change should HR be prepared to address?

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Steps in Evidence-Based Decision Making



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Evaluating Data Sources

Consider the quality of the data sources you use.

- Authority
- Evidence of bias
- Sources cited
- Facts relevant to use
- Current data
- Sound logic

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Common HR Data Sources

- Interviews
- Focus groups
- Surveys/questionnaires
- Observation
- Existing data
- Artifacts

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Interviews

Individual interviews:

- Offer the opportunity for follow-up questions that may not be possible in a survey or focus group.
- Are rarely the sole form of gathering data.
- Are more effective if areas of discussion and specific questions are planned (e.g., with an interview guide).

Interviewer should establish a positive and trusting relationship with the interviewees.

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Interview Advantages and Challenges

Advantages	Challenges
• Safer, confidential environment may generate significant information. • Comments can suggest direction for further group research (focus groups and surveys).	• Can be time-intensive. • Requires strong relationship-building skills. • Requires vigilance to avoid bias from influencing questions and interpretation of answers.

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Focus Groups

Small group (normally six to twelve) invited to participate in a structured discussion (one to three hours) with a facilitator

Advantages	Challenges
• Provides a flexible format that is relatively comfortable for discussion • Supports group brainstorming, decision making, and prioritization and group consensus • Enables HR to learn about employee needs, attitudes, and opinions • Gives employees direct input	• Tends to foster “group think” • May be difficult to control if participants go off on tangents • Generally don’t allow for deep discussions • Can provide skewed or biased results if participants are not representative

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Conducting More Effective Focus Groups

Important considerations:

- Planning
- Context
- Importance of facilitator and recorder
- Tools: mind mapping/ affinity diagramming, nominal group technique, Delphi technique

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Surveys and Questionnaires

- Relatively inexpensive ways to gather a large amount of data from a large and dispersed group of subjects
- Important considerations:
  - Obtaining a valid (representative) sample
  - Designing the survey with analysis in mind
  - Asking the right questions (for example, questions that reflect appropriate internal and external environmental factors and are mindful of language and cultural differences)

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Survey/Questionnaire Advantages and Challenges

Advantages	Challenges
• Efficient way to gather a lot of data from a large and dispersed group • Easier to quantify data for analysis and reporting	• Can be difficult to obtain an acceptable response rate • Difficult to follow up on data from anonymous sources • Relies on self-reporting, which can be biased • Requires time and statistical expertise to assess sample and compile and analyze data

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Observation

Observing the workplace and work processes:

- Mitigates any self-reporting filters present in interviews, surveys, and focus groups.
- Can strengthen the HR professional's understanding of the work at hand and the culture of the workplace.
- Allows observers to note factors that participants are unaware of, consider routine, or are reluctant to share.

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Observation Advantages and Challenges

Advantages	Challenges
• Provides firsthand and immediate data rather than self-reported data, which can be affected by memory and selectivity. • Is time-efficient for subjects.	• Requires skill to be "unseen." • Requires vigilance to remove personal bias from observations. • Requires experience to note significant behaviors. • Observations may not be representative of the entire body of data.

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Existing Data

Many sources of existing data:

- Official documents about the business and culture
- Performance data from financial records, organizational databases, and HRIS
- Correspondence and reports
- Industry data and benchmarks

© SHRM

Existing Data Advantages and Challenges

Advantages	Challenges
• Eliminates the effects of observation and involvement and possible biases • Rich, multi-perspective source of data	• Can be time-intensive • Requires experience to extract key data • May require ingenuity to find data

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Artifacts

- Objects created by members of a culture that convey a sense of that culture's values and priorities, beliefs, habits and rituals, or perspectives.
- May include physical workspaces, virtual environments

Advantages	Disadvantages
• Provides additional insight into cultural issues • Can be observed without the help of those being observed	• Requires researcher to understand the principles of culture • Can create misunderstandings if the researcher is not familiar with the culture

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Reliability and Validity

Reliability

Ability of an instrument to provide consistent results

Example:
A checklist used to rate suppliers' proposals produces the same results when used by multiple scorers.

Validity

Ability of an instrument to measure the intended attributes

Example:
A checklist used to rate suppliers' proposals results in selection of suppliers who meet expectations.

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Sampling

- Samples must represent the population being measured.
- Samples must be sufficiently large to include possible variations.

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Errors and Bias in Statistical Analysis

Biases may include:

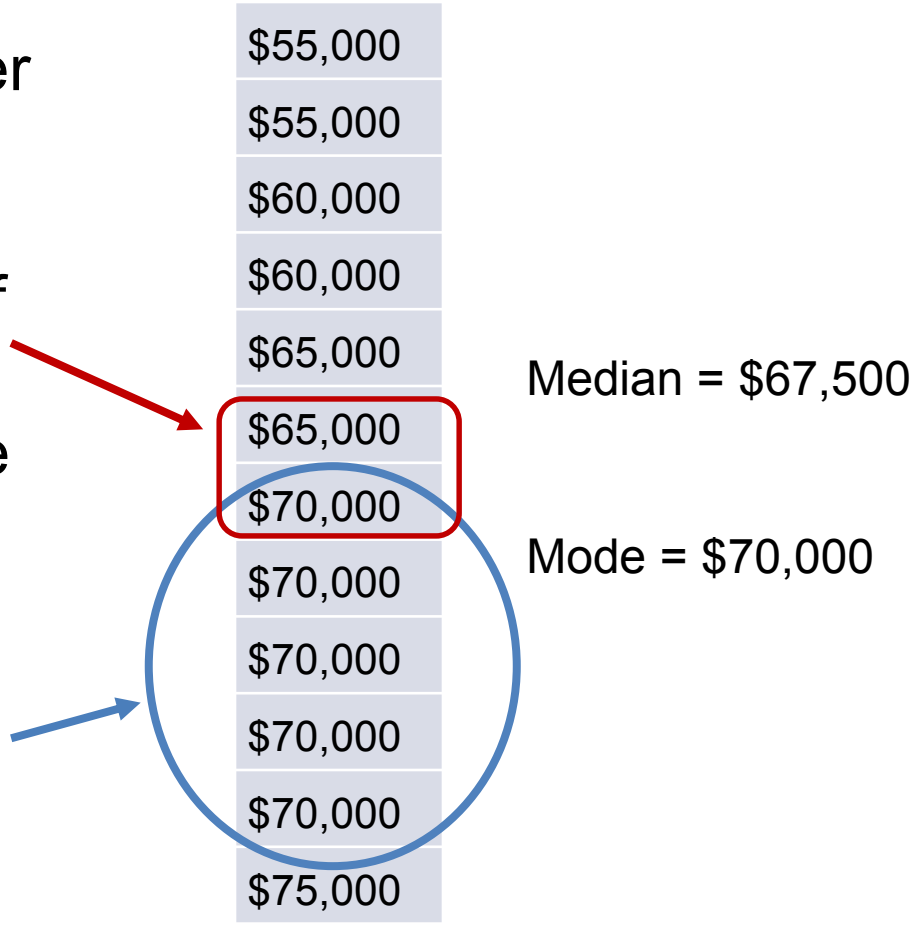
- Sampling.
- Selection.
- Response.
- Performance.
- Measurement.

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Median and Mode

Median is the middle number in a range. Half are above and half are below. (Where there are an even number of data points, median is determined by averaging the two middle numbers.)

Mode is the most frequently occurring value.



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Mean

Unweighted mean (raw average):
Gives equal weight to all data values.

Weighted mean (weighted average):
Adjusts weight by factors related to data significance.

Organization	Number of Incumbents	Annual Salary	Total Salary
A	2	$55,000	$110,000
B	1	$60,000	$60,000
C	2	$65,000	$130,000
D	5	$70,000	$350,000
E	1	$75,000	$75,000
5	11	$325,000	$725,000

Unweighted mean = $65,000
($325,000 ÷ 5 organization salaries)

Weighted mean = $65,950

$$\left(\left[\$55{,}000 \times \frac{2}{11}\right] + \left[\$60{,}000 \times \frac{1}{11}\right] + \left[\$65{,}000 \times \frac{2}{11}\right] + \left[\$70{,}000 \times \frac{5}{11}\right] + \left[\$75{,}000 \times \frac{1}{11}\right]\right)$$

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Frequency Distributions

Used to sort numerical data to reveal patterns

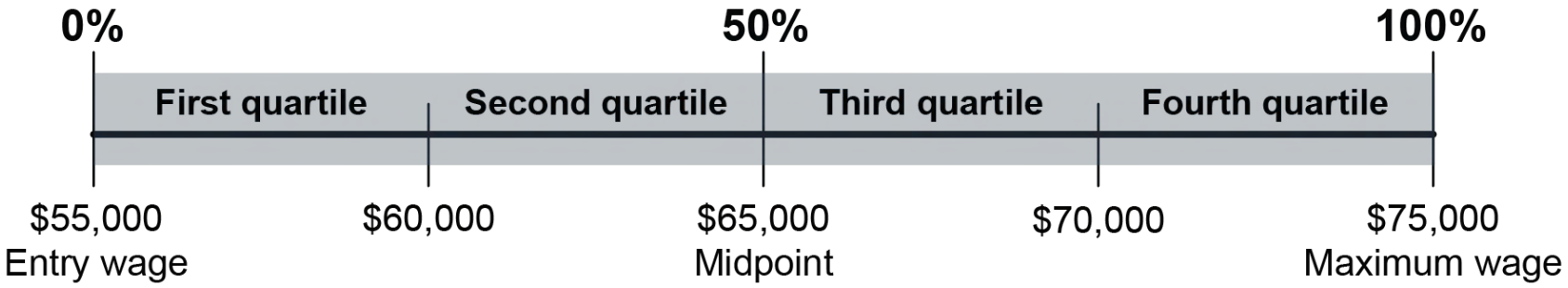
- Frequency distribution
  - Lists the grouped data from lowest to highest
- Frequency table
  - Shows the size of individual data groups

Mean Salary	Number of Incumbents
$55,000	2
$60,000	1
$65,000	2
$70,000	5
$75,000	1

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Quartiles and Percentiles

Show how groups of data relate to each other (dispersion)



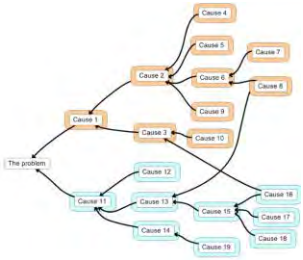
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Data Analysis Methods

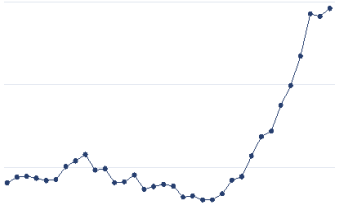
Budget	Actual	Variance	%
$50,000	$48,000	$2,000	4%

Variance analysis
Identify difference between planned and actual performance.

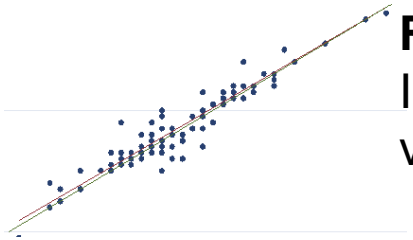
Ratio analysis
Examine relationships between data in financial statements; compare similar variables.



Root-cause analysis
Identify possible causes for an event/condition.



Trend analysis
Identify change in a variable over time.



Regression analysis
Identify relationships between variables and their strength.

Scenario or what-if analysis
Identify the impacts on X of different scenarios.

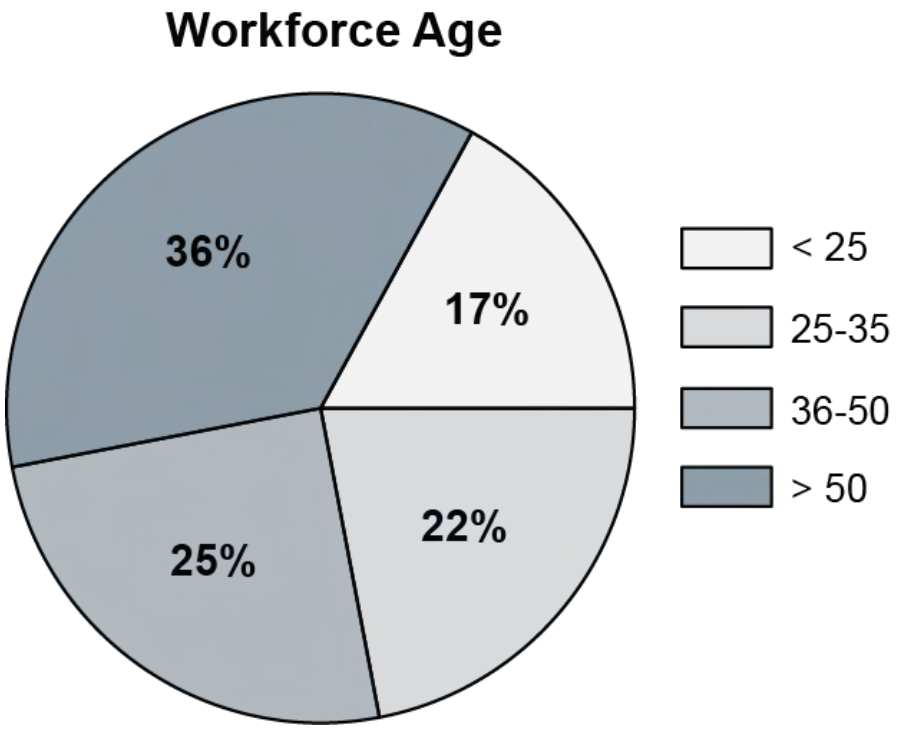
	5.00%	10.00%	15.00%	20.00%
60	$8,963.84	$10,092.35	$11,300.22	$12,584.59
120	$5,038.11	$6,277.16	$7,663.41	$9,179.64
180	$3,756.27	$5,104.37	$6,648.04	$8,342.41
240	$3,134.79	$4,583.85	$6,254.75	$8,069.42
300	$2,776.80	$4,316.33	$6,083.95	$7,972.65
360	$2,549.90	$4,168.46	$6,006.11	$7,937.34
420	$2,397.27	$4,083.44	$5,969.86	$7,924.32
480	$2,290.43	$4,033.44	$5,952.81	$7,919.50

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Graphic Analysis Tools

Pie chart

- Depicts as slices of a circle the constituents that comprise 100% of a data group.
- Communicates high-level information about data distribution.

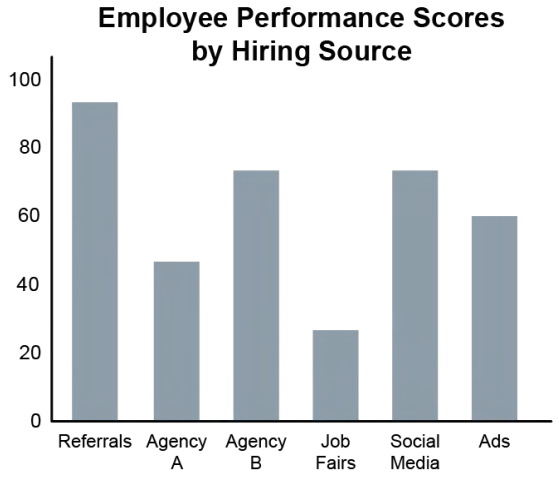


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Graphic Analysis Tools

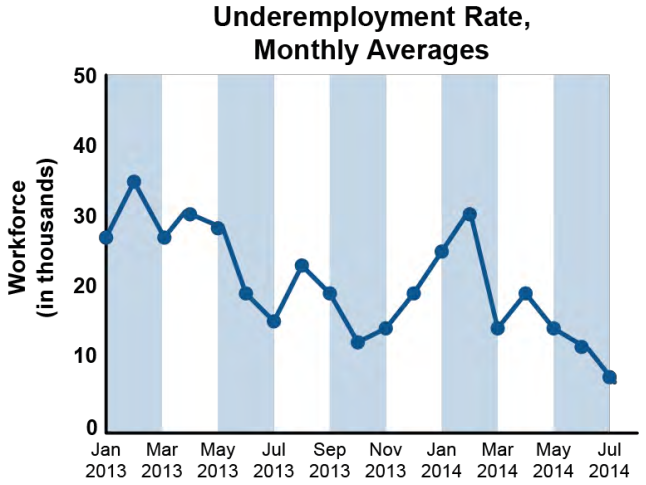
Histogram

- Sorts data into groups and shows relative sizes as columns of varying heights or lengths.
- Supports rapid comparison.



Trend diagram

- Plots data points of a defined variable over time.
- Shows cycles or developing trends.

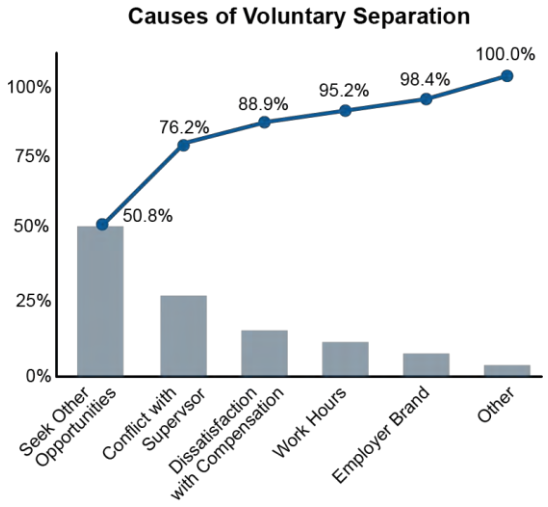


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Graphic Analysis Tools

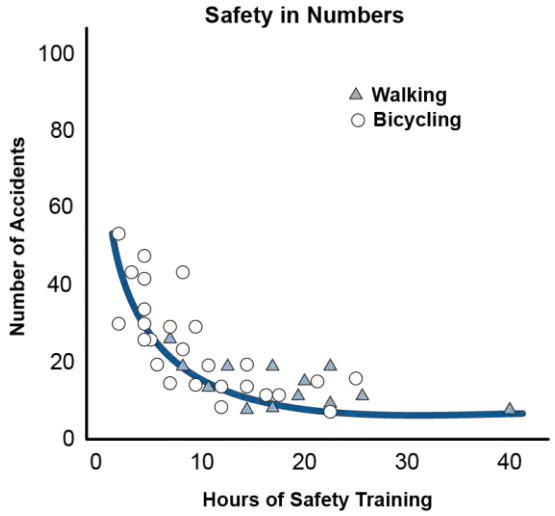
Pareto chart

- Ranks categories of data.
- Applies Pareto principle. (80% of problems are caused by 20% of causes.)



Scatter diagram

- Plots data points against variables.
- Tightness of clustering indicates strength of relationship.
- Direction of the line indicates a positive or negative relationship of the variables.



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Competency Connection

Let's discuss a Competency Connection related to Critical Evaluation.

- The HR manager identifies an increase in turnover during the last two years.
- The HR manager speaks with managers to determine the cause.
- The conclusion of the managers is refuted by the HR manager's analysis of exit interview data.
- The HR manager identifies the retention gap as the largest issue for the coming year and develops a plan to address it.

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Competency Connection

- Which data sources does the HR manager use to investigate the turnover increase?
- What advantages and disadvantages from those data sources does the HR professional encounter?
- What are some other data sources that the HR manager could use? Why would the HR manager find those sources useful to analyzing this particular issue?

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